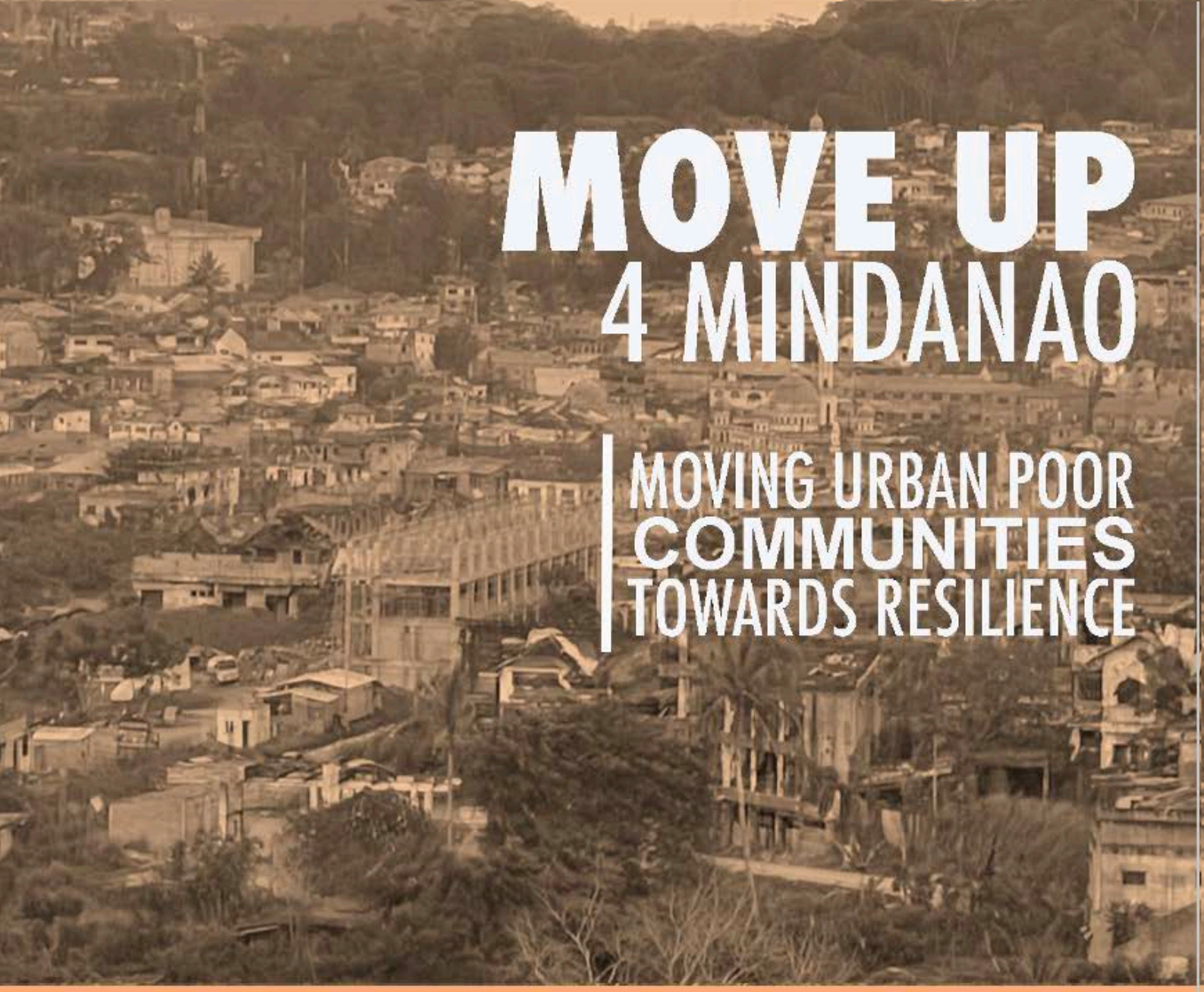

MOVE UP 4 MINDANAO

MOVING URBAN POOR COMMUNITIES TOWARDS RESILIENCE

PROMOTING AND STRENGTHENING SHOCK-RESPONSIVE, RESILIENT AND SUSTAINABLE LIVELIHOODS AND LIVELIHOOD INTERVENTIONS

A PROCESS MANUAL

Funded by European Union Civil Protection and Humanitarian Aid

ACTION AGAINST HUNGER

care

ACCORD

PLAN INTERNATIONAL

MOVE UP 4 MINDANAO | MOVING URBAN POOR COMMUNITIES TOWARDS RESILIENCE

ABOUT MOVE UP 4 MINDANAO

The project "Moving Urban Poor in Mindanao Towards Resilience" or MOVE UP 4 is an urban DRR project. It is funded by the European Union's Civil Protection and Humanitarian Aid Office (ECHO) and implemented by a consortium of development and humanitarian organizations, namely Action Against Hunger, Plan International, Cooperative for Assistance and Relief Everywhere (CARE), and Assistance and Cooperation for Community Resilience and Development (ACCORD). The principal objective of the MOVE UP project in its fourth iteration is "to contribute in building the resilience of urban poor populations to withstand and manage the impact of natural and human-induced disasters by strengthening urban disaster preparedness, response, and management capacity of the National, Sub-national and Local government units, and other stakeholders through the adaption and/or replication of tested Urban Resilience strategies". The strategies were introduced and developed under successive MOVE UP projects that began in 2016 funded also by ECHO.

ABOUT THE CONSORTIUM

Action Against Hunger (AAH) is a global humanitarian organization that takes decisive actions against the causes and effects of hunger. For over 19 years, AAH has taken purposive action in preparedness measures, emergency response, early recovery, and development work in the Philippines.

CARE (Cooperative for Assistance and Relief Everywhere, formerly Cooperative for American Remittances to Europe) is a major international humanitarian agency delivering emergency relief and long-term international development projects. Founded in 1945, CARE is non-sectarian, impartial, and non-governmental. It is one of the largest and oldest humanitarian aid organizations focused on fighting global poverty. In 2016, CARE reported working in 94 countries, supporting 962 poverty-fighting projects and humanitarian aid projects, and reaching over 80 million people and 256 million people indirectly.

Assistance and Cooperation for Community Resilience and Development, Inc (ACCORD) is a non-stock, non-profit civil society organization, working with the vulnerable communities in the Philippines in resilience building. ACCORD works in partnership with the least-served, most vulnerable communities.

Plan International is a global child-centered organization working in 72 countries and has been in the Philippines for almost 57 years to help realize children's rights to education, health, participation, livelihoods, and protection. Plan works directly and with partners in delivering its programmes, and has worked in 14 regions, 35 provinces, 78 municipalities and 894 villages across the Philippines. Plan cochairs the Emergency Preparedness Working group with UN-OCHA. For humanitarian programming, Plan has responded to various emergencies and was involved in post disaster rehabilitation efforts both to armed conflict and disasters from natural hazards.

ABOUT THE FUNDER

Funded by
European Union
Civil Protection and
Humanitarian Aid

The **European Union** and its Member States are the world's leading donor of humanitarian aid. Through its **Civil Protection and Humanitarian Aid Operations** department **(ECHO),** the European Union helps millions of victims of conflict and disasters every year. With headquarters in Brussels and a global network of field offices, the EU provides assistance to the most vulnerable people based on humanitarian needs.

DISCLAIMER

Funded by the European Union. Views and opinions expressed are however those of the author(s) only and do not necessarily reflect those of the European Union or the MOVE UP Consortium. Neither the European Union nor the granting authority can be held responsible for them.

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ABOUT THIS PROCESS MANUAL

BACKGROUND

The MOVE UP 4 Mindanao Project with the help of various stakeholders, carried out two closely linked studies as stated hereunder:

1. Review of Vulnerability Criteria and Indicators in Targeting the Most Vulnerable and At-Risk Urban Poor in LGUs' Social Protection Programs in Mindanao.
2. Assessment of Shock-Responsive, Resilient, and Sustainable Livelihood Options and Modalities for Urban Poor Households in Mindanao.

These studies were able to uncover various international standards, national and local policies, plans, principles and practices on livelihoods and livelihood interventions. The two studies reaffirmed claims of various studies the intersections of vulnerabilities from various risks facing by the livelihood ecosystem in Mindanao. The landscape in all the areas covered are characterized by being volatile, uncertain, complex, and ambiguous (VUCA). Also, it was pointed out that in all areas, there is still a low level of capacity across the livelihood stakeholders in promoting and strengthening shock-responsive, resilient, and sustainable livelihood options despite existence of international and national, and local players investing huge resources and implementing various interventions. The persistence of "disabling" livelihood coping mechanisms and strategies of the primary stakeholders are manifestations of such low capacity.

PURPOSES OF THE PROCESS MANUAL

This Manual is consisting of four (4) interrelated chapters: I. Introduction to Livelihoods and MSMEs; II. Profiling and Calculating Livelihood Risks and Hazards; III. Livelihood Assets and Market Assessment; and IV. Livelihood Resilience Development and Management. Chapter I provides the most straightforward and important concepts and frameworks for understanding livelihoods and MSMEs, and the necessity to blend the two technical concepts as instruments for addressing or reducing vulnerabilities of urban communities. Chapters II to IV provide frameworks, principles, and steps in promoting and strengthening livelihoods as enterprises and livelihood interventions going beyond integration into local governance processes.

Specifically, the purposes of this manual are the following:

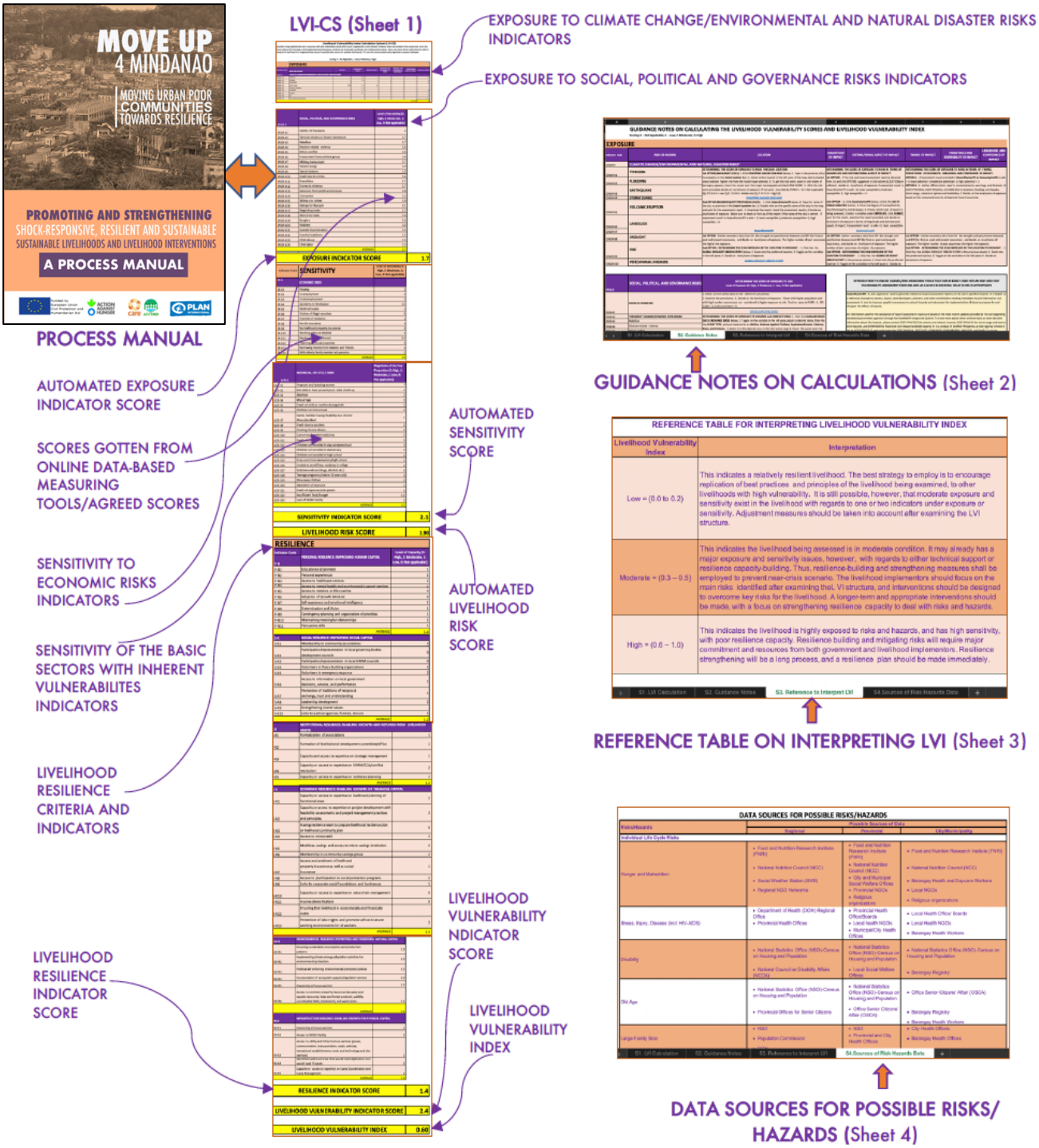
1. To ensure that livelihoods and livelihood interventions are risk-informed, culturally appropriate, conflict-sensitive, and are adequately targeting the most vulnerable and at-risk urban population.
2. To adopt modern and innovative approaches that usually applied in complex and chaotic contexts.
3. To guide all the livelihood stakeholders in a detailed manner emphasizing on the mutuality of their roles in every stage of livelihood development and management.

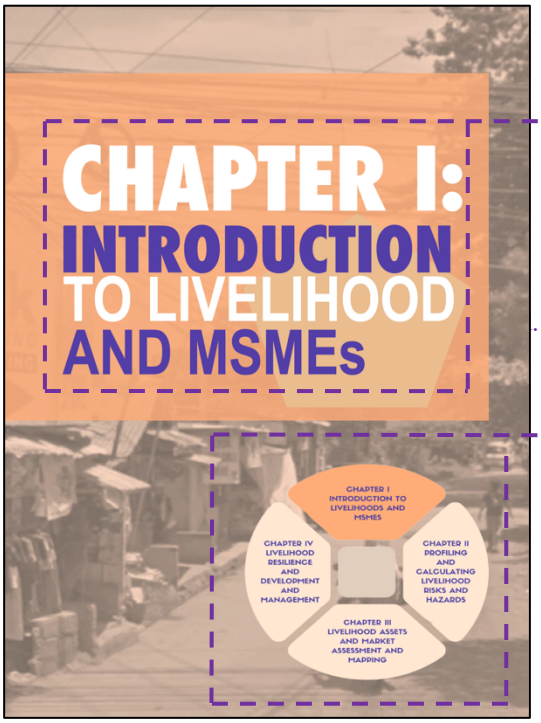
INTENDED USERS

The simple 'how-to" guidelines described in this manual are the results of careful selection and amalgamation of various international, national, subnational, and local frameworks and standards. Amalgamating these frameworks and standards was geared towards considering a wide range of intended users, especially the primary stakeholders and LGUs in Mindanao. The Manual is a multidisciplinary tool. Therefore, the tool could be more useful if a team with multidisciplinary background is co-owning the complex vulnerability issues towards co-creating innovative solutions pointing to shock-responsive, resilient, and sustainable livelihoods.

HOW TO USE THIS MANUAL

The layout of this manual is designed to guide the reader throughout the process in an easy and recognizable way, as shown in the illustrations below. Further, this Manual would become incoherent without its principal accompanying tool – the **Livelihood Vulnerability Index- Calculation System (LVI-CS)**, a vulnerability-pragmatic scoring system which serves both as a tally sheet and calculation for livelihood exposure, sensitivity, and resilience scores gotten from various existing data-based online measuring tools or consensus of stakeholders/experts on a given score based on past historical events or quick estimations. It is currently, formatted as Google spreadsheet or MS Excel spreadsheet with automated calculation to arrive with LVI. It is composed of four (4) sheets: LVI scoring sheet; guidance notes on calculations and using data-based online measuring tools; reference table for interpreting LVI; and list of data sources for possible risks/hazards in times when data-based online measuring tools are not accessible, or its data sources are outdated.





CHAPTER NUMBER AND TITLE

DIAGRAM CHAPTER LOCATOR

NOTE BOX INTRODUCING CONCEPTS, THEORIES, AND PRINCIPLES

FIGURE AND ILLUSTRATION

FOLLOW THE ENUMERATED STEPS

CHECK THE TOOL IN THE TOOL SECTION

CLICK THE BUTTON PROVIDED

MEANINGS OF MAJOR ICONS

QUALITY AND UPDATED DATA IS IMPERATIVE

1. **Establishing vulnerability indexes and systematically analyze current livelihood assets and market arrangements heavily require updated data, both primary and secondary.** But for easy and quick data access, the Manual displayed how to utilize existing online webapps or softwares employing big data, data analytics and artificial intelligence which application programming interfaces (APIs)[1] are connected to credible international and national database of various authorities and institutions.

2. **In times of disruptions, however, the utility of existing online webapps or softwares may be limited to none.** There would be a need for data collection from the household or barangay level. And in the near future, the databases where all those online webapps and softwares are connected will need data updating. Data and information generated from the household or barangay level can update and contribute to a more comprehensive database at the local, regional, and national levels.

3. **Data and information gathered could be processed using the frameworks and tools suggested in this Manual**. Processed and quality data provide the stakeholders a real picture of the livelihoods ecosystem. Having a real picture combined with correct frameworks and tools facilitate developing and managing shock-responsive, resilient livelihoods and livelihood interventions.

4. **When only secondary information is available, it is necessary to check the quality of said secondary data.** A probe must be done by for the most recent or updated data or validating the indicators with local stakeholders and experts. Collecting, processing, probing, and validating data or information shall always uphold consent, privacy and confidentiality.

RELATED TOOLS AND PUBLICATIONS

There are several tools, toolkits, manuals, and publications that are already available which are designed by various stakeholders and practitioners on comprehensive "sustainable livelihoods" and "resilient livelihoods". Most of these tools and publications served as references of this Manual, and they were properly cited. These comprehensive publications on "sustainable", "resilient" livelihoods and livelihood interventions include:

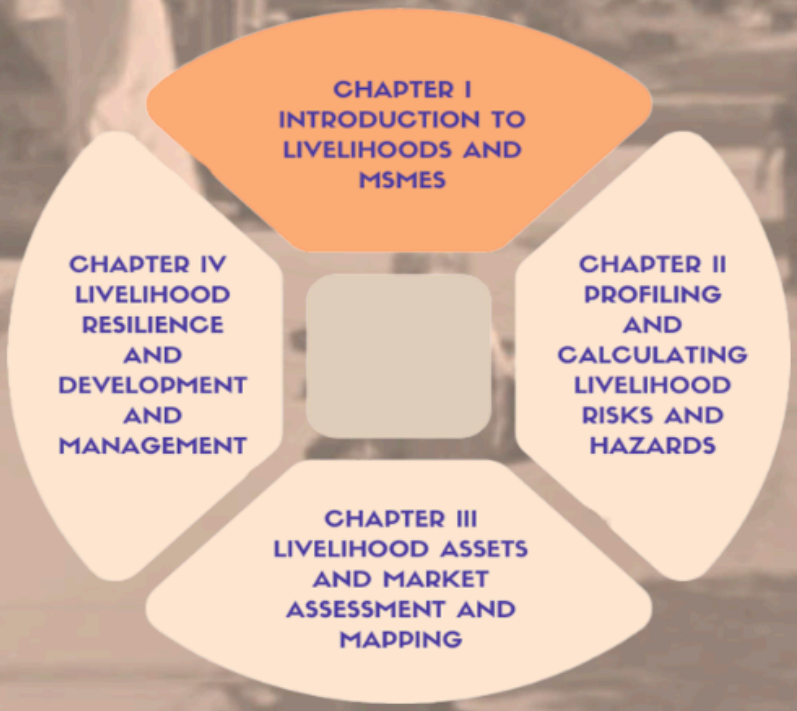
1. The Livelihood Assessment Toolkit published by Food and Agriculture Organization (FAO), Rome; and International Labour Organization (ILO), Geneva.
2. The Livelihoods Resource Centre (online) by International Federation of Red Cross (IFRC).
3. Humanitarian Innovation Guide (online) by Elrha and European Union Civil Protection and Humanitarian Aid (ECHO).
4. Guide to Market-Based Livelihood Interventions for Refugees by ILO and United Nations High Commissioner for Refugees (UNHCR).
5. Community-Based Enterprise Development (C-BED) for Livelihood Resilience and Social Protection in the Informal Economy (SP) by International Labour Organization (ILO).

VALUE ADDITION OF THE MANUAL

Blending of traditional standards and innovation. Pursuing livelihoods and livelihood interventions require following set of standards according to international and national conventions. However, due to complex contexts, adaptation of innovative practices is equally important. Hence, this Manual considered both standards and innovation, and blended it accordingly.

[1] Application Programming Interface or API is a software intermediary that allows two applications to talk to each other. Please see a quick video about API through this link: https://www.mulesoft.com/resources/api/what-is-an-api

CHAPTER I: INTRODUCTION TO LIVELIHOOD AND MSMEs

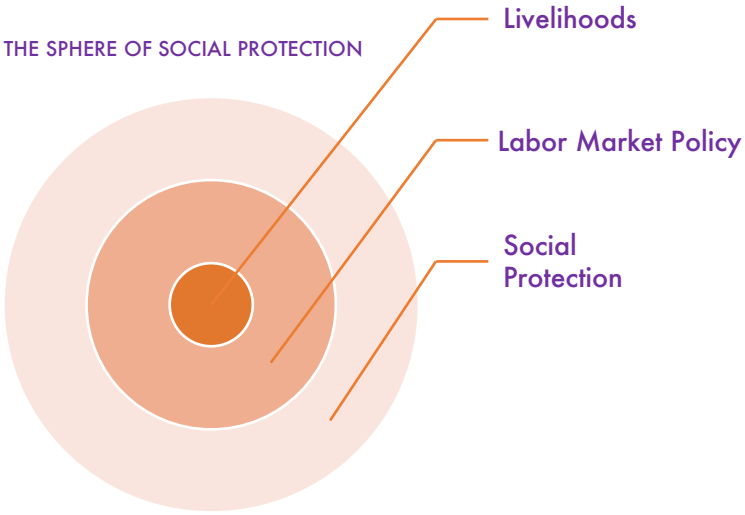


LIVELIHOOD INTERVENTIONS are programs under labor market policies of the social protection cluster of socio-economic development thrust of a specific government. In the Philippines, labor market policies or programs consist of four distinct parts (Acosta et.al., 2018):

a) measures to protect workers' conditions and terms of employment;
b) active labor market interventions;
c) programs and measures to protect the large numbers of Filipinos working overseas (OFWs); and
d) entrepreneurship and microcredit programs intended to support income-generating activities, mainly for the vulnerable population and workers in the informal sector.

LIVELIHOOD[2] is a method of increasing an earning capacity to sustain necessities of life.

FIGURE 1. LIVELIHOODS IN THE SPHERE OF SOCIAL PROTECTION



NOTE BOX 1: SOCIAL PROTECTION AND LABOR MARKET POLICY (Acosta, et.al., 2018)

SOCIAL PROTECTION - *policies and programs that seek to reduce poverty and vulnerability to risks and enhance the social status of and rights of marginalized groups by promoting and protecting livelihood and employment, protecting against hazards and sudden loss of income, and improving people's capacity to manage risk."* Social protection programs or social safety net programs are classified into four (4) components.

Social Insurance – Programs that seek to mitigate income risks by pooling resources and spreading risks across time and classes. These are designed so that beneficiaries pay a premium over a given period to cover or protect them from loss of income and unemployment because of illness, injury, disability, retrenchment, harvest failure, maternity, old age, etc. This component includes micro-and area-based schemes to address the vulnerability at the community level (such as micro-insurance and social support funds).

Social Welfare – Preventive and developmental interventions that seek to support the minimum essential requirements of the poor, particularly the poorest of the poor, and reduce risks associated with unemployment, resettlement, marginalization, illness, disability, old age, and loss of family care. Social welfare and assistance programs usually comprise direct assistance in the form of cash or in-kind transfers to the poorest and marginalized groups and social services, including family and community support, alternative care, and referral services.

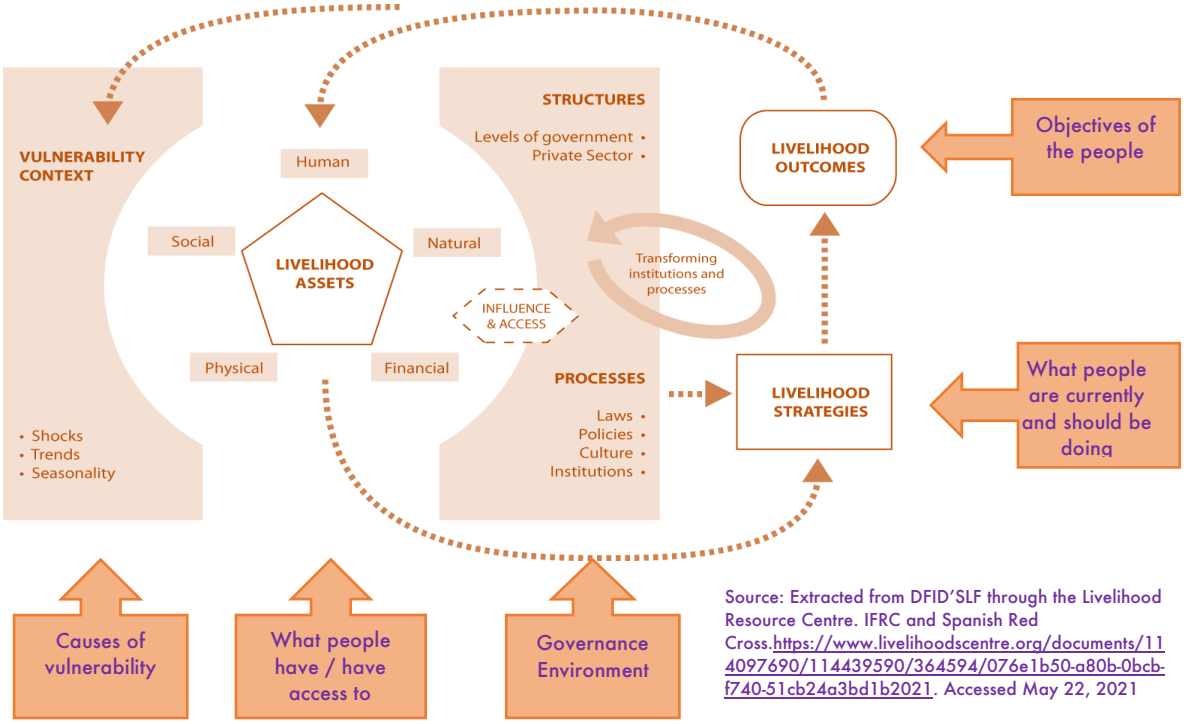
Social Safety Nets – Stop-gap mechanisms or urgent responses that address the effects of economic shocks, disasters, and calamities on specific vulnerable groups. These are measures that specifically target affected groups with a particular objective of providing relief and transition. Measures include emergency assistance, price subsidies, food programs, employment programs, retraining programs, and emergency loans.

Labor Market Policy/Program - All social expenditure (other than education) which is aimed at the improvement of the beneficiaries' prospect of finding gainful employment or to otherwise increase their earnings capacity.

[2] as defined by Robert Chambers and Gordon Conway

SUSTAINABLE LIVELIHOOD[3] refers to people's capacity to generate and maintain their means of living and enhance their well-being and future generations. A livelihood is ***sustainable*** when it can cope with and recover from stresses and shocks, and maintain or enhance its capabilities and assets, both now and in the future, while not undermining the natural resource base.

FIGURE 2. THE SUSTAINABLE LIVELIHOOD FRAMEWORK



Source: Extracted from DFID'SLF through the Livelihood Resource Centre. IFRC and Spanish Red Cross.https://www.livelihoodscentre.org/documents/114097690/114439590/364594/076e1b50-a80b-0bcb-f740-51cb24a3bd1b2021. Accessed May 22, 2021

MICRO SMALL AND MEDIUM ENTERPRISE (MSME) is defined as any business activity or enterprise engaged in industry, agribusiness, and/or services, whether single proprietorship, cooperative, partnership, or corporation whose total assets, inclusive of those arising from loans but exclusive of the land on which the business entity's office, plant, and equipment are situated, must have value falling under the following categories[4]:

TABLE 1. LEGAL AND STATISTICAL DEFINITIONS OF ENTERPRISE SIZE IN THE PHILIPPINES

	Magna Carta for MSME, by asset size (excluding the land on which the business is operated) in PHP	**Approximate Value in USD[5]**	**Philippine Statistics Authority, classification by number of employees**
Micro	Up to 3 million	Up to 63,000	1 to 9 employees
Small	Between 3 million and 15 million	63,000 - 317,000	10 to 99 employees
Medium	Between 15 million and 100 million	317,000 - 21.2 million	100 to 199 employees
Large	More than 100 million	More than 21.2 million	More than 200 employees

Source: R.A. 9501. https://thecorpusjuris.com/legislative/republic-acts/ra-no-9501.php Accessed May 22, 2021

MSME APPROACH is an alternative pathway for livelihoods to become sustainable (Warren, 2002). The two concepts are interrelated, and both are aiming to reduce vulnerabilities.

[3] Based on DFID's Sustainable Livelihood Framework.
[4] Section 3, R.A. No. 6977 as amended.
[5] Rounded figures, based on eexchange rate of 26 November 2015 – PHP: USD was 47:1.

LIVELIHOODS or MSMES, consist of complex and dynamic activities which shall consider the following necessary aspects:

a) Diverse stakeholders involved (details are introduced in this Chapter and are recurring topics in Chapter II, III, and IV)
b) Risks, Hazards, and Vulnerabilities (components are presented in Table 2, but details are discussed in Chapter II)
c) Assets, Capabilities, and Strategies (components are introduced in Table 2, but details are discussed in Chapter III and IV)

TABLE 2. ASPECTS OF LIVELIHOODS

<table>
<tr><th>DIVERSE STAKEHOLDERS INVOLVED*</th><th>RISKS, HAZARDS, AND VULNERABILITIES</th><th>ASSETS, CAPABILITIES & STRATEGIES</th></tr>
<tr><td>*Actors with a stake in the success or failure of livelihoods</td><td rowspan="2">Exposure
• Environment, Climate Change and Disaster Risks vs. Five Key Vulnerabilities to Impact
• Social, Governance, and Political Risks</td><td>Personal resilience</td></tr>
<tr><td>Individuals or community beneficiaries/ recipients /partners</td><td>Social Resilience
Institutional resilience</td></tr>
<tr><td>Local government</td><td rowspan="4">Sensitivity
• Economic Risks
• Technological Risks
• Population with inherent vulnerabilities
• Individual Life Cycle Risks</td><td>Economic Resilience</td></tr>
<tr><td>Government agencies</td><td>Environmental Resilience</td></tr>
<tr><td>Civil Society Organizations</td><td rowspan="2">Infrastructure Resilience</td></tr>
<tr><td>Private Sector</td></tr>
</table>

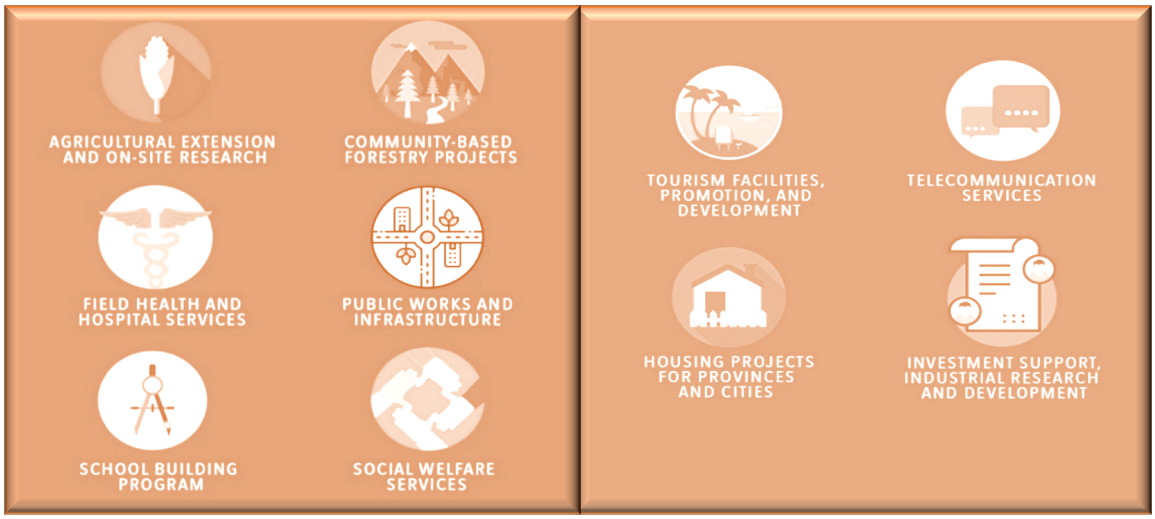
DIVERSE STAKEHOLDERS INVOLVED in livelihoods are active actors and change agents with stakes in the success or failure of livelihoods. They are influenced by or may influence political, economic, demographic, social, environmental, and technological trends. They also define the institutional arrangements; are responsible for the effectiveness and efficiency of service delivery systems or otherwise; may intervene in market structures and competition; may intervene in the conduct of business ethics and performances; shapes public policy; determinants of public goods and services delivery; and actors in urbanization, urban livelihoods, demand and supply for goods and services, characterizes the primary conditions of livelihood ecosystem, and provision or transfer of various forms of technology.

a) **Individuals or primary stakeholders /community beneficiaries / recipients / partners** are core stakeholders and direct implementers of the livelihood. They are the primary stakeholders and ultimate recipients of returns from the assets they have acquired. If not, they are the ones who bear the brunt of various risks and hazards.
b) **Local government** – refers to the local authority which prepares and executes ordinances. The Mandanas Doctrine[6] reversed the previously 40%-60% sharing from the national taxes to 40%-60%, in favor of increasing LGUs' Internal Revenue allotment (IRA). Apart from IRA, it can mobilize and allocate resources from other sources to support livelihoods. It also monitors and reports the status of livelihood interventions.
c) **Government agencies** – refer to the various agencies under the executive branch of the national government. They prepare and implement multiple livelihood interventions with pre-defined implementing guidelines. Due to Mandanas Doctrine, national government agencies are mandated to transfer the implementation of major social protection programs, including

[6] The Mandanas Doctrine clarifies that the share from the Internal Revenue Allotment (IRA) of the local government units (LGUs) does not exclude other national taxes like customs duties. The exclusion of other national taxes like customs duties from the base for determining the just share of the LGUs contravened the express constitutional edict in Section 6, Article X of the 1987 Constitution. Accordingly, all national government is mandated to implement full devolution all functions, services, and facilities based on Section 17 of the Local Government Code and other pertinent laws, covers all agencies and instrumentalities of the Executive Branch with devolved functions to LGUs, but it excludes LGUs in Bangsamoro Autonomous Region in Muslim Mindanao (BARMM).

livelihood interventions and other basic services and facilities, to LGUs by 2022. The fully devolved services and facilities include agricultural extension and on-site research, community-based forestry projects**, tourism facilities promotion and development**, telecommunication services**, field health and hospital services**, public works and infrastructure**, housing projects for provinces and cities**, investment support, industrial research and development, school building program, and social welfare services**[7].

FIGURE 3. BASIC SERVICES FULLY DEVOLVED TO LGUs EFFECTIVE 2022



Source: Adapted from Powers and Devolved Services of Local Government Units (LGUs) by Dr. Maria Ela Atienza (Professor and Chair), Asst. Prof. Jan Robert Go (Assistant Professor), and Herby Jireh Esmeralda (Research Assistant). Retrieved from https://halalan.up.edu.ph/powers-and-devolved-services-of-local-

d) **Civil Society Organizations (CSOs)** – Depending on the nature of the CSO by its legal existence, its operation may cover national, subnational, and local boundaries. Each CSO has its thematic priorities according to its strategic direction. Their resources may come from various sources, and its delivery of services is defined by its project influentials like funders and donors.
e) **Private Sector** – Are either local or foreign businesses with local or national, or international operations in various industries. They also operate corporate social foundations. Most raw materials come from local sites where individuals or community beneficiaries/recipients/partners reside.

PURSUING LIVELIHOODS AND LIVELIHOOD INTERVENTIONS

in the context of MOVE UP 4, are closely aligned to current major livelihood frameworks and policies (See Note Box 2). The frameworks mentioned in Note Box 2 are widely accepted, with a wealth of experiences and research as references. They tackle different intersecting terms aligned to similar meanings, livelihood strategies, outcomes, and all of which ultimately aspire to achieve similar Resilience and Inclusive Agenda along with the Sustainable Development Goals. Further, international conventions, national policy frameworks, principles, and legal bases are enablers in promoting and strengthening sustainable, resilient, and shock responsive livelihood interventions and options (please see Annex 1).

[7] ** Basic services which are growth drivers and are facilitating services to access human, financial social, physical, and natural assets; returns on assets; and meeting consumption needs for the vulnerable poor.

NOTE BOX 2. MOVE UP 4's ALIGNMENT TO MAJOR LIVELIHOOD FRAMEWORKS

Sustainable Livelihood Framework – Illustrated through Figure 2. The DFID defines sustainable livelihoods approach as a way of thinking on the objectives, scope, and priorities for development activities. It is based on evolving thinking about the way the poor and vulnerable live their lives and the importance of policies and institutions. The sustainable livelihoods approach facilitates the identification of practical priorities for actions that are based on the views and interests of those concerned. It does not replace other tools, such as participatory development, sector-wide approaches, or integrated community development. SLF is not a new paradigm, it is a collection of best practices, and it gives due recognition to other development approaches. The hallmark of such framework is to bridge the gap between macro and micro by ensuring that the higher level policy is informed by the insights from the lower level and by the priorities of the poor and vice versa.

MOVE UP and DSWD Sustainable and Resilient Livelihood – Resilient livelihood is defined by MOVE UP as adaptive practices such as identifying alternative livelihood options within existing value chains and accumulating savings that can be used in times of disaster. This also includes financial literacy activities intended to change the mindset and attitude of the urban poor to one in which social and economic protection are viewed as their obligation. With proper social preparation and readiness, the action introduces effective and appropriate models of savings, livelihood improvement options and risk transfer. Meanwhile, DSWD-SLP describes sustainable livelihood as a method of increasing capacity to earn but one which is "independent of external support, can maintain the long-term productivity of natural resources, it does not undermine the livelihood options of others, resilient, can recover from shocks, can maintain or enhance its capabilities and assets both now and in the future." DSWD's Sustainable Livelihood and MOVE UP's Resilient Livelihood took a sharp turn in 2020, when the two terms were agreed by both parties, as interrelated operational concepts. These two interrelated operational terms from separate initiatives became the take-off point in reviewing the implementing guidelines of DSWD-SLP towards enhancing it as a livelihood intervention which deliberately increases resilience capacity and mechanisms for the vulnerable communities. Thus, it recognizes the need for aligning livelihood implementing guidelines to macro policies such as the reviewed policies to international conventions, national policies and plans tackling resilience, DRR and CCA.

DTI's Disaster Resilient Enterprise - The MSME Road Map prepared by Asian Disaster Preparedness Center and DTI defined disaster-resilient enterprise as one that has the capacity to anticipate, resist or absorb, and then accommodate or recover from a hazard that affects it, returning to at least the equivalent state of economic health that it enjoyed beforehand, and continuing to grow and develop without detrimental long-term effects.

DOLE's Livelihood or *Kabuhayan* – The DOLE Department Order No. 173, Series of 2017, livelihood refers to any kind of legitimate economic activity that will serve as a source of viable employment option to generate income among the low income groups. Such definition is covered by the objective of the DOLE Integrated Livelihood and Emergency Employment (DILEEP)to contribute the poverty reduction and reduce vulnerability to risks of the poor, vulnerable and marginalized workers either through transitional emergency employment or promotion of livelihood and entrepreneurship.

CHAPTER II: PROFILING AND CALCULATING LIVELIHOOD RISKS

A. LIVELIHOOD RISKS AND HAZARDS EXPOSURE

NOTE BOX 3: RISK, HAZARD AND VULNERABILITY

Risk is defined as the potential loss of life, injury, or destroyed or damaged assets which could occur to a system, society or a community in a specific period of time, determined probabilistically as a function of hazard, exposure, vulnerability and capacity (TRANSFORM, 2020). Represented as a formula:

$$\text{RISK} = \frac{\text{HAZARD, SHOCK OR STRESS x EXPOSURE x VULNERABILITY}}{\text{CAPACITY}}$$

Hazards are uncertain events that may damage a system (this includes livelihoods), society, community. Hazards and risks could be used interchangeably.

Vulnerability is a degree to which a system (this includes livelihoods), society, or a community is exposed or sensitive to adverse effects of risks and hazards, considering its adaptive or resilient capacity. Its application is employed with flexibility in numerous risks contexts.

Holistic approach of vulnerability shall cover and differentiate its three dimensions (Schneider, et.al., 2007)
- exposure, sensitivity and resilience capacities. It is therefore, represented with the formula:

VULNERABILITY = EXPOSURE + SENSITIVITY – RESILIENCE

With this formula, since exposure and sensitivity represents risks, the simple formula for risk adopted in this Manual is:

RISK = EXPOSURE + SENSITIVITY

Exposure is the degree to which system(this includes livelihoods), society, or a community could be affected by risks or hazards (Schneider, et.al., 2007). Vulnerability criteria under exposure include:

Climate Change, Environment and Disaster Risks vis-à-vis **Five (5) Key Vulnerability Criteria** – Locations of livelihoods with prevalence or occurrences of typhoon, flooding, earthquake, storm surge, volcanic eruption, landslide, drought, fire, and pests/animal diseases. The locations of prevalence or occurrences of hazards risks are collocated with the five key vulnerability criteria such magnitude of impact, distributional aspect of impact, timing, persistence, and reversibility of impact, likelihood, and confidence of impact.

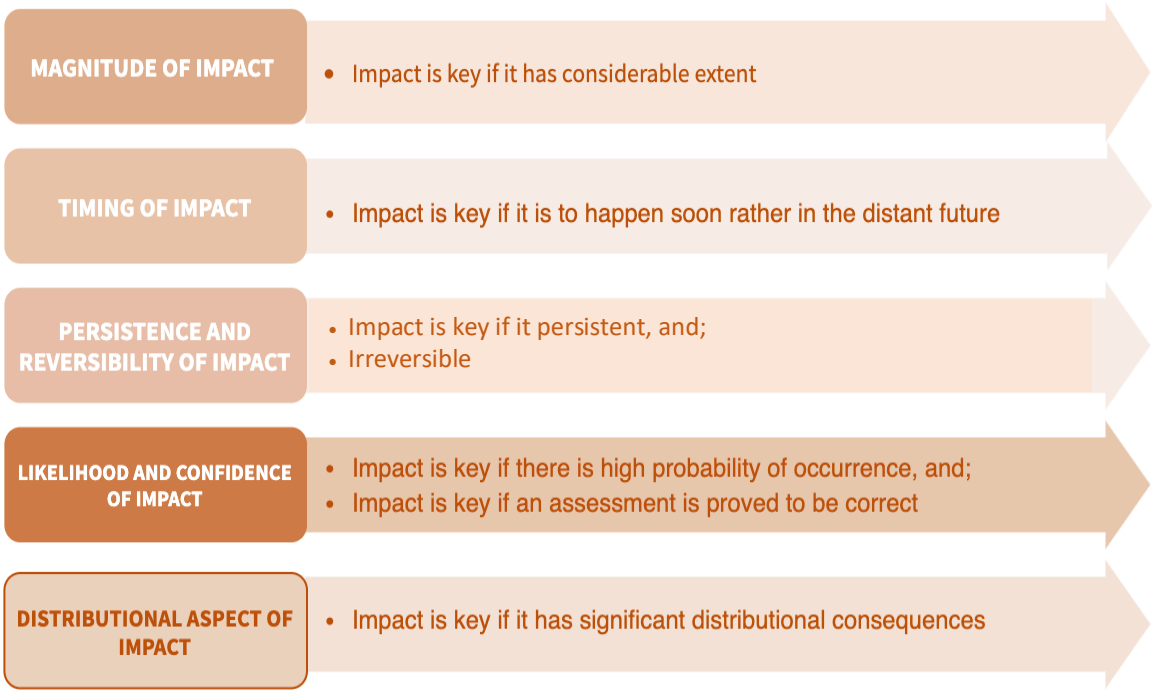
Social, Governance, and Political Risks – The system(this includes livelihoods), society, or a community are greatly affected with occurrences of social and, governance, and political risks such as terrorist violence/violence extremism, rebellion, election-related violence, ethnic conflict, harassment from political group, military harassment, violent gangs, sexual violence, death due to crimes, demolition, domestic violence, exclusion from political processes, corruption, witness to crimes, kidnap for ransom, illegal drug trade, illicit arms trade, burglary, robbery, gender discrimination, harmful traditions, child abuse, and child labor.

TABLE 3. REFERENCE TABLE FOR COMMON VULNERABILITIES OF THE POOR HOUSEHOLDS

COMMON VULNERABILITIES AMONG THE POOR HOUSEHOLDS	
LEGAL STATUS	
Informal employment	Those in informal employment generally lack labor rights. They are therefore susceptible to sudden unemployment and the dangers accruing to unprotected working conditions (long hours, poor pay, unsanitary or unsafe conditions)
Shelter and land	Urban residents are living on illegally occupied land or in informal low-cost rental housing lack legal tenure rights. As such, they experience poor housing quality and face the threat of summary eviction. Linked to housing rights, those residents undertaking urban agriculture may also lack legal tenure and risk losing their land and crops.
Political rights	Informal residents lacking legal registration may be disenfranchised and excluded from political decision making and, in addition, may suffer from police harassment and bureaucracy
Services and infrastructure	Lack of legal status may also limit the access of informal residents to basic social services (health and education) or financial services (e.g., bank loans). In addition, the prevalence of illegal connections to infrastructure (such as electricity or water) means that many informal residents are vulnerable to the sudden withdrawal of key services and may also be fined or punished in some way for illegal use of these services.
THE LOCAL ENVIRONMENT	
Physical environment	Poor living environments often endanger the lives and health of the urban poor, especially where they are forced to live and work in marginal areas through a lack of cheap alternatives. Cheap alternatives create further vulnerability, as ill-health undermines one of the chief assets of the urban poor -their labor
Social Environment	The social context in cities may be characterized by crime, fragmentation, and other social problems, which will reduce the ability of households to support one another to further their livelihood strategies (Wratten, 1995). In addition, poor men and women may be excluded from livelihood opportunities due to differences such as culture/ethnicity, which results in their exclusion from social networks.
Dependence on the cash economy	"Free" goods and services, such as common land, clean water, and fuel, are rare in cities. Most of the basic living needs of urban residents must be paid for in cash - making the urban poor particularly vulnerable to market vagaries such as inflation and the removal of government subsidies (Moser 98). In addition, dependence on the cash economy frequently means that poor households are vulnerable to debt (mainly where they cannot rely on informal on social networks for loans). Borrowing, typically at usurious rates, may lead to long-term indebtedness with disastrous results such as bonded child labor.

Source: Adapted from Meikle, S., et.al. January 2001. Working Paper No. 112. Sustainable Urban Livelihoods: Concepts And Implications for Policy

FIGURE 4. FIVE KEY VULNERABLITY CRITERIA (Adapted from Chapter 19 of the 4th IPCC Assessment Report)



B. PROFILING LIVELIHOOD RISKS AND HAZARDS EXPOSURE AND SCORING LEVEL OF EXPOSURE

Profiling livelihood exposures to risks and hazards entails gathering baseline data, secondary data, and first-hand data. Baseline and secondary data are necessary to reduce subjectivity in setting the profile. Obtaining first-hand data through household surveys, focus group discussions, and key informant interviews is needed to update or validate the baseline and secondary data.

There are available impressive practitioner's manuals in profiling livelihood exposures to risks and hazards at the household level. Worthy to mention are the following:

a) Action Against Hunger – International Network's Participatory Risk, Capacity, and Vulnerability Analysis (PCRVA). December 2013
b) UN Habitat's Climate Change Vulnerability and Risk Guide: A Guide for Community Assessment, Action Planning, Implementation. 2020.
c) Climate Change Commission's Vulnerability and Risk Assessment (VRA), Training Manual. 2017.

Further, there are available websites, web applications, and database which can provide instant risk score and hazard assessment reports such as *Philippine Risk Hazard Map*, *HazardHunterPH*, and *GeonAnalyticsPH* for the typhoon, flooding, earthquake, storm surge, volcanic eruption, and landslide; Global Drought Observatory for drought; *EndcovPH* for COVID-19 pandemic; *Humanitarian Data Exchange through the Armed Conflict Location & Event Data (ACLED) Database* for conflict and violence indicators; and *Numbeo* for crimes and discrimination indicators. See Annex 2 for the details of these various online tools.

MOVE UP MINDANAO came up with Livelihood Vulnerability Index Calculation System (LVI-CS). Please ee Annex 3. The scoring in each indicator follows the scoring system herein:

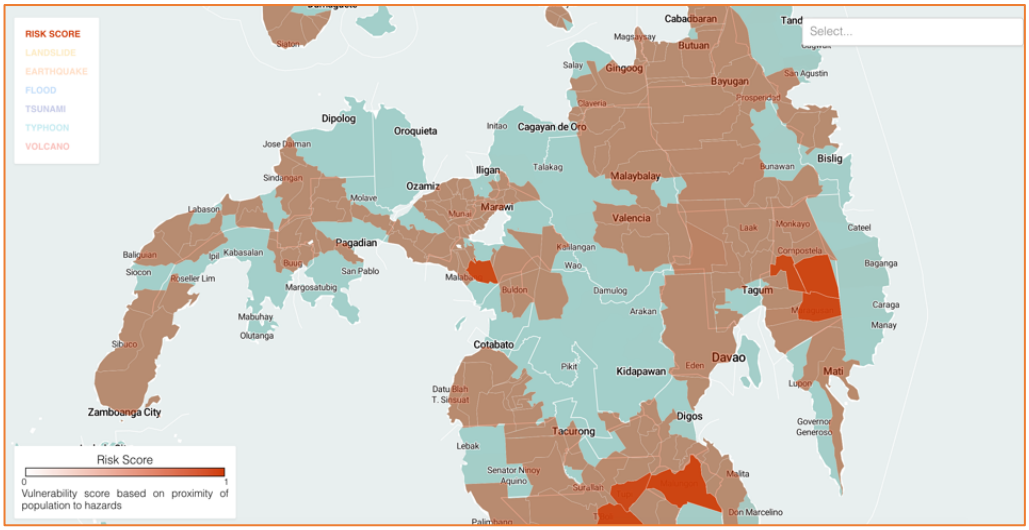
0 - Not Applicable; 1 - Low; 2 - Moderate; 3 – High

1. LIVELIHOOD RISKS PROFILING BY LOCATION OF TYPHOON, FLOODING, EARTHQUAKE, STORM SURGE, VOLCANIC ERUPTION, AND LANDSLIDE

OPTION 1 – Determining the level of risk exposure to typhoon, flooding, earthquake, storm surge, volcanic eruption, and landslide of barangay locations using the Philippine Hazard Risk Map (PHRM)[8]

[8] As an alternative in clicking the button, the PHRM can be accessed through this link - https://hazard-risk-map.firebaseapp.com/

FIGURE 5. RISK SCORES OF BARANGAYS (Extracted from Philippine Risk Hazard Map)



Source: Philippine Risk Hazard Map. https://hard-risk-map/firebase.app.com/

OPTION 2– Determining the level of risk exposure to typhoon, flooding, earthquake, storm surge, volcanic eruption, and landslide of city/municipal location using HazardHunterPH.[9]

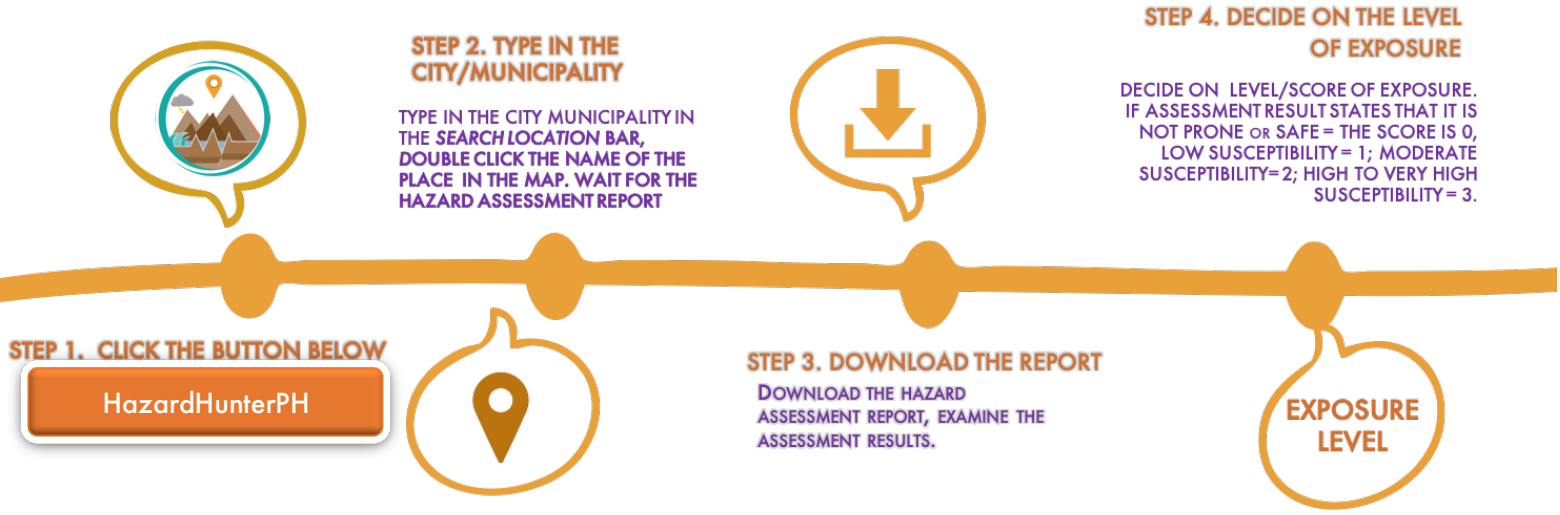
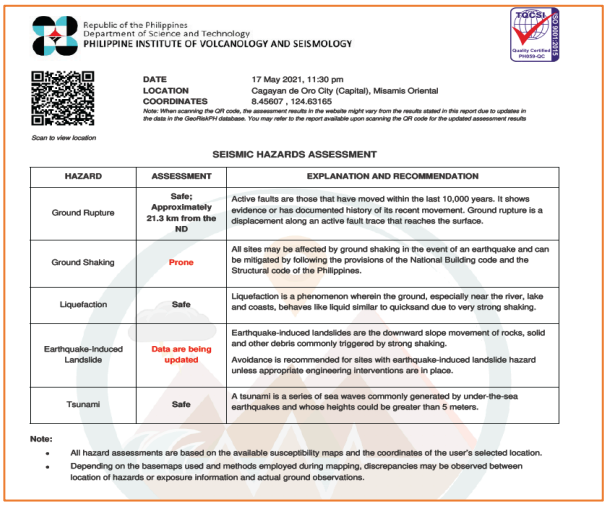


FIGURE 6. SAMPLE INSTANT HAZARD ASSESSMENT REPORTS FOR CAGAYAN DE ORO CITY (Extracted from HazardHunterPH)



Republic of the Philippines
Department of Science and Technology
PHILIPPINE INSTITUTE OF VOLCANOLOGY AND SEISMOLOGY

Scan to view location

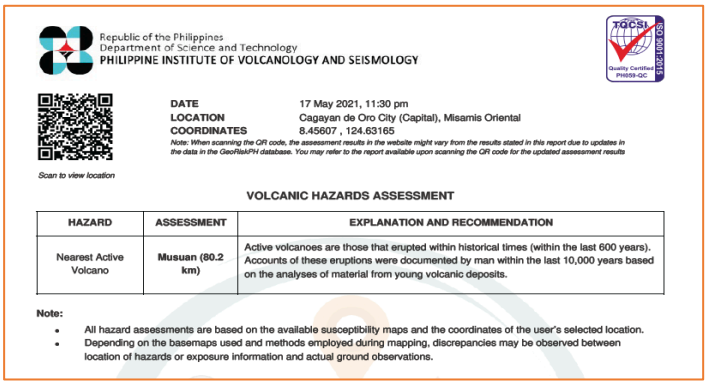
DATE 17 May 2021, 11:30 pm
LOCATION Cagayan de Oro City (Capital), Misamis Oriental
COORDINATES 8.45607 , 124.63165

Note: When scanning the QR code, the assessment results in the website might vary from the results stated in this report due to updates in the data in the GeoRiskPH database. You may refer to the report available upon scanning the QR code for the updated assessment results

SEISMIC HAZARDS ASSESSMENT

HAZARD	ASSESSMENT	EXPLANATION AND RECOMMENDATION
Ground Rupture	Safe; Approximately 21.3 km from the ND	Active faults are those that have moved within the last 10,000 years. It shows evidence or has documented history of its recent movement. Ground rupture is a displacement along an active fault trace that reaches the surface.
Ground Shaking	Prone	All sites may be affected by ground shaking in the event of an earthquake and can be mitigated by following the provisions of the National Building code and the Structural code of the Philippines.
Liquefaction	Safe	Liquefaction is a phenomenon wherein the ground, especially near the river, lake and coasts, behaves like liquid similar to quicksand due to very strong shaking.
Earthquake-Induced Landslide	Data are being updated	Earthquake-induced landslides are the downward slope movement of rocks, solid and other debris commonly triggered by strong shaking. Avoidance is recommended for sites with earthquake-induced landslide hazard unless appropriate engineering interventions are in place.
Tsunami	Safe	A tsunami is a series of sea waves commonly generated by under-the-sea earthquakes and whose heights could be greater than 5 meters.

Note:
- All hazard assessments are based on the available susceptibility maps and the coordinates of the user's selected location.
- Depending on the basemaps used and methods employed during mapping, discrepancies may be observed between location of hazards or exposure information and actual ground observations.



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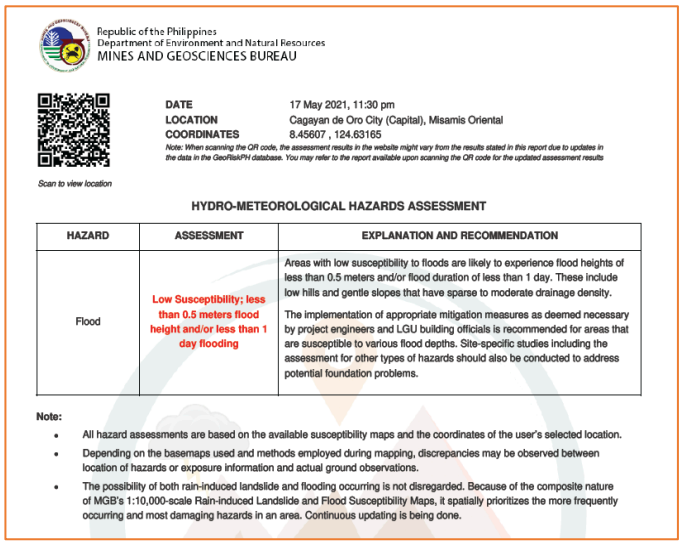
VOLCANIC HAZARDS ASSESSMENT

HAZARD	ASSESSMENT	EXPLANATION AND RECOMMENDATION
Nearest Active Volcano	Musuan (80.2 km)	Active volcanoes are those that erupted within historical times (within the last 600 years). Accounts of these eruptions were documented by man within the last 10,000 years based on the analyses of material from young volcanic deposits.

Note:
- All hazard assessments are based on the available susceptibility maps and the coordinates of the user's selected location.
- Depending on the basemaps used and methods employed during mapping, discrepancies may be observed between location of hazards or exposure information and actual ground observations.

[9] As an alternative in clicking the button, HazardHunterPH can be accessed through this link - https://hazardhunter.georisk.gov.ph/



Republic of the Philippines
Department of Environment and Natural Resources
MINES AND GEOSCIENCES BUREAU

DATE 17 May 2021, 11:30 pm
LOCATION Cagayan de Oro City (Capital), Misamis Oriental
COORDINATES 8.45607 , 124.63165

Note: When scanning the QR code, the assessment results in the website might vary from the results stated in this report due to updates in the data in the GeoRiskPH database. You may refer to the report available upon scanning the QR code for the updated assessment results

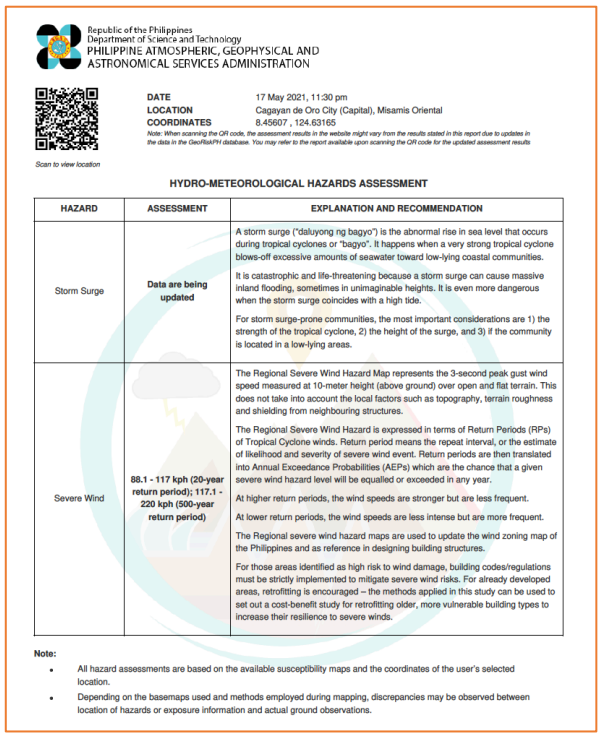
Scan to view location

HYDRO-METEOROLOGICAL HAZARDS ASSESSMENT

HAZARD	ASSESSMENT	EXPLANATION AND RECOMMENDATION
Flood	Low Susceptibility; less than 0.5 meters flood height and/or less than 1 day flooding	Areas with low susceptibility to floods are likely to experience flood heights of less than 0.5 meters and/or flood duration of less than 1 day. These include low hills and gentle slopes that have sparse to moderate drainage density. The implementation of appropriate mitigation measures as deemed necessary by project engineers and LGU building officials is recommended for areas that are susceptible to various flood depths. Site-specific studies including the assessment for other types of hazards should also be conducted to address potential foundation problems.

Note:

- All hazard assessments are based on the available susceptibility maps and the coordinates of the user's selected location.
- Depending on the basemaps used and methods employed during mapping, discrepancies may be observed between location of hazards or exposure information and actual ground observations.
- The possibility of both rain-induced landslide and flooding occurring is not disregarded. Because of the composite nature of MGB's 1:10,000-scale Rain-induced Landslide and Flood Susceptibility Maps, it spatially prioritizes the more frequently occurring and most damaging hazards in an area. Continuous updating is being done.



Republic of the Philippines
Department of Science and Technology
PHILIPPINE ATMOSPHERIC, GEOPHYSICAL AND ASTRONOMICAL SERVICES ADMINISTRATION

DATE 17 May 2021, 11:30 pm
LOCATION Cagayan de Oro City (Capital), Misamis Oriental
COORDINATES 8.45607 , 124.63165

Note: When scanning the QR code, the assessment results in the website might vary from the results stated in this report due to updates in the data in the GeoRiskPH database. You may refer to the report available upon scanning the QR code for the updated assessment results

Scan to view location

HYDRO-METEOROLOGICAL HAZARDS ASSESSMENT

HAZARD	ASSESSMENT	EXPLANATION AND RECOMMENDATION
Storm Surge	Data are being updated	A storm surge ("daluyong ng bagyo") is the abnormal rise in sea level that occurs during tropical cyclones or "bagyo". It happens when a very strong tropical cyclone blows-off excessive amounts of seawater toward low-lying coastal communities. It is catastrophic and life-threatening because a storm surge can cause massive inland flooding, sometimes in unimaginable heights. It is even more dangerous when the storm surge coincides with a high tide. For storm surge-prone communities, the most important considerations are 1) the strength of the tropical cyclone, 2) the height of the surge, and 3) if the community is located in a low-lying areas.
Severe Wind	88.1 - 117 kph (20-year return period); 117.1 - 220 kph (500-year return period)	The Regional Severe Wind Hazard Map represents the 3-second peak gust wind speed measured at 10-meter height (above ground) over open and flat terrain. This does not take into account the local factors such as topography, terrain roughness and shielding from neighbouring structures. The Regional Severe Wind Hazard is expressed in terms of Return Periods (RPs) of Tropical Cyclone winds. Return period means the repeat interval, or the estimate of likelihood and severity of severe wind event. Return periods are then translated into Annual Exceedance Probabilities (AEPs) which are the chance that a given severe wind hazard level will be equalled or exceeded in any year. At higher return periods, the wind speeds are stronger but are less frequent. At lower return periods, the wind speeds are less intense but are more frequent. The Regional severe wind hazard maps are used to update the wind zoning map of the Philippines and as reference in designing building structures. For those areas identified as high risk to wind damage, building codes/regulations must be strictly implemented to mitigate severe wind risks. For already developed areas, retrofitting is encouraged – the methods applied in this study can be used to set out a cost-benefit study for retrofitting older, more vulnerable building types to increase their resilience to severe winds.

Note:

- All hazard assessments are based on the available susceptibility maps and the coordinates of the user's selected location.
- Depending on the basemaps used and methods employed during mapping, discrepancies may be observed between location of hazards or exposure information and actual ground observations.

2. DETERMINING THE LIVELIHOOD RISK EXPOSURE TO DROUGHT, FIRE, AND PESTS/ANIMAL DISEASES OF LIVELIHOOD LOCATIONS

OPTION 1- Gather secondary data from the Department of Agriculture (for drought and pest/animal diseases) and Bureau of Fire Protection (for fire) on past and present occurrences and decide on level/score of exposure. The higher number of past events, the higher the exposure.

OPTION 2- Determining the risk exposure (in terms of location, magnitude, distribution, timing, persistence, and likelihood of impact) to drought through Global Drought Observatory.[10]

STEP 1 Click the button ➡ GLOBAL DROUGHT OBSERVATORY

STEP 2 Zoom into the preferred location.

STEP 3 Toggle on the variables in the left pane.

STEP 4 Decide on level/score of exposure.

3. LIVELIHOOD RISKS PROFILING BY LOOKING AT MAGNITUDE AND DISTRIBUTIONAL IMPACT OF TYPHOON, FLOODING, EARTHQUAKE, STORM SURGE, VOLCANIC ERUPTION, AND LANDSLIDE

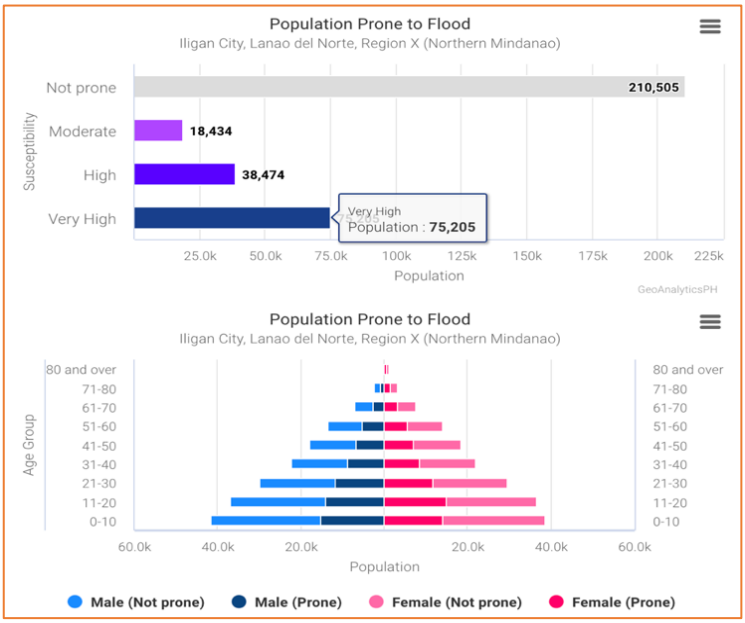
OPTION 1 – If the risk and hazard assessment reports obtained from 1st and 2nd options in determining the level of risk exposure to typhoon, flooding, earthquake, storm surge, volcanic eruption, and landslide of barangay/municipal /city locations are sufficient, decide on the level/score of exposure. If assessment result in HazardHunterPH is safe = 0, least susceptible-1; moderate susceptible= 2; high susceptible = 3.

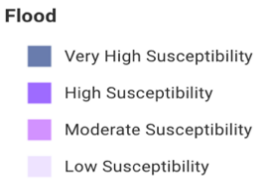
[10] As an alternative in clicking the button, Global Drought Observatory can be accessed through this link - https://edo.jrc.ec.europa.eu/gdo/php/index.php?id=2001

OPTION 2 - Determining livelihood risks exposure to the magnitude and distributional impact of the typhoon, flooding, earthquake, storm surge, volcanic eruption, and landslide using GeoAnalyticsPH.[11]

FIGURE 7. SAMPLE FLOOD ASSESSMENT REPORT FOR ILIGAN CITY (Extracted from GeoAnayticsPH)

Source: GeoAnalyticsPH. Accessed March 29, 2021.



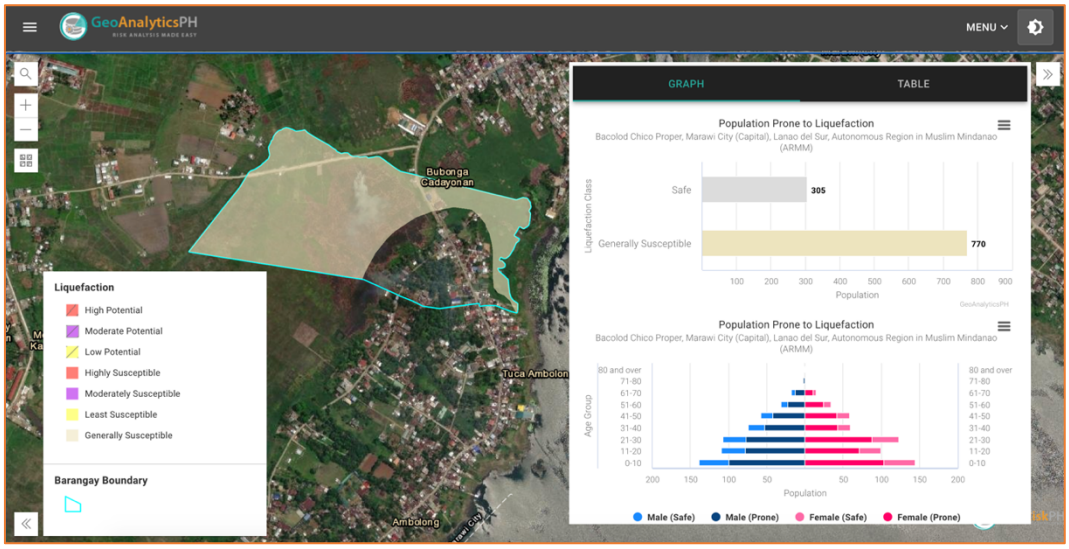


4. LIVELIHOOD RISKS PROFILING BY LOOKING AT TIMING, PERSISTENCE, AND LIKELIHOOD IMPACT OF TYPHOON, FLOODING, EARTHQUAKE, STORM SURGE, VOLCANIC ERUPTION, AND LANDSLIDE AT THE BARANGAY/MUNICIPAL/LEVEL

OPTION 1 - If assessment result provided in GeoAnalyticsPH is safe = 0; if low potential -1; if moderate potential = 2; if high potential = 3.

[11] As an alternative in clicking the button, GeoAnalyticsPH can be accessed through this link - https://geoanalytics.georisk.gov.ph/

FIGURE 8. SAMPLE LIQUEFACTION ASSESSMENT REPORT FOR BRGY. CHICO PROPER, MARAWI CITY
(Extracted from GeoAnalyticsPH)



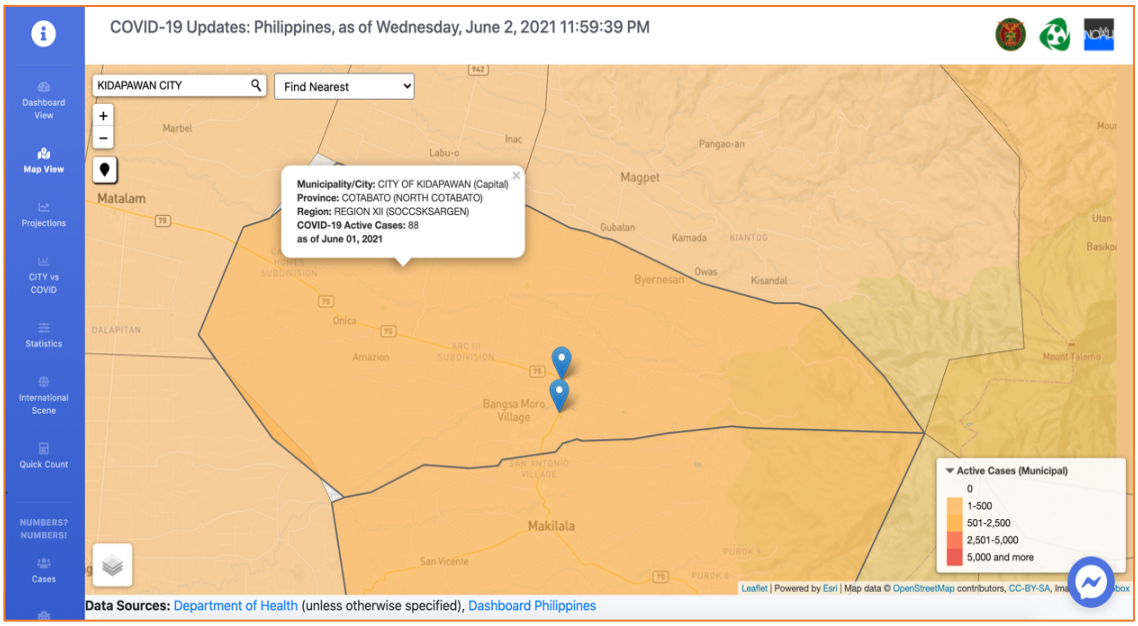
OPTION 2 – 1. Gather official online reports, announcements, warnings, and forecasts of DOST-PHIVOLCS, DOST-PAGASA, and DND-OCD on typhoon, flooding, earthquake, storm surge, volcanic eruptions, and landslides; 2. Decide on the level/score of exposure based on the announced timing and likelihood of hazard occurrence.

5. SOCIAL, GOVERNANCE, AND POLITICAL RISKS TO LIVELIHOOD AT THE BARANGAY/ MUNICIPAL/CITY LEVEL

a. PROFILING LIVELIHOOD RISK EXPOSURE TO COVID-19 PANDEMIC USING ENDCOV.PH[12]

[12] As an alternative in clicking the button, ENDCOV.PH can be accessed through this link - https://endcov.ph/map/

FIGURE 9. SAMPLE LIVELIHOOD RISK EXPOSURE TO COVID -19 PANDEMIC FOR KIDAPAWAN CITY (Extracted from ENDCOV.PH)



b. PROFILING LIVELIHOOD RISKS EXPOSURE TO VIOLENCE AND CONFLICT USING THE ARMED CONFLICT LOCATION AND EVENT (ACLED)[13] PROJECT

STEP 1. CLICK THE BUTTON BELOW

ACLED

STEP 2. ADJUST VARIABLES

TOGGLE ON THE VARIABLE IN THE LEFT PANE, ADJUST TO DESIRED DATES, FILTER THE THE EVENT TYPE, AND PUT CHECKMARKS ON ***BATTLES, VIOLENCE AGAINST CIVILIANS, EXPLOSIONS/REMOTE VIOLENCE, RIOTS, AND PROTESTS.***

STEP 3. ZOOM IN TO THE DESIRED AREA IN THE INTERACTIVE MAP

STEP 4. GET THE RISK SCORE

HOVER THE CURSOR OVER THE COLOR-CODED TYPES OF EVENTS, CLICK ON THE DESIRED LOCATION, AND EXAMINE THE DETAILS OF EVENT AND NUMBER OF OCCURRENCES;

STEP 5. DECIDE ON THE LEVEL OF EXPOSURE

PLACES WITH HIGHER POPULATION AND WITH HIGH NUMBER OCCURRENCES ARE CONSIDERED AS HIGHER EXPOSURE TO RISK.

EXPOSURE LEVEL

c. PROFILING LIVELIHOOD RISKS EXPOSURE TO EXCLUSION FROM POLITICAL PROCESSES

How to calculate the exclusion rate?

STEP 1 Gather data on the total number of CSOs.

STEP 2 Check the proportion of CSOs represented and participating in local special bodies.

STEP 3 Decide on the level of exposure. If 0-40% CSO only is represented = Low, if 41-69%= Moderate; if 70-100% = High

[13] As an alternative in clicking the button, ACLED can be accessed through this link - https://acleddata.com/#/dashboard

d. PROFILING LIVELIHOOD RISKS EXPOSURE TO CRIMES AND DISCRIMINATION USING NUMBEO[14]

e. PROFILING THE LGU's RISK EXPOSURE TO THE IMPACT OF EXHAUSTIVE CAPACITY BUILDING

NOTE BOX 4: ABSORPTIVE CAPACITY

WHAT IS ABSORPTIVE CAPACITY? It is the measure of the rate at which an organization can learn and use scientific, technological, or other knowledge that exists outside of the organization itself. It is a measure of an organization's ability to learn (Bessant, J. and Trifilova, A., 2017).

WHY DETERMINE ABSORPTIVE CAPACITY? Due to the intersections of risks and hazards in Mindanao, there is a surge of funding from international and local development players. Local governments in Mindanao are receivers of various types of projects. Measuring the level of LGU's capacity to seek, absorb and apply new knowledge will provide the stakeholders an insight as to the level of difficulty it will be for an LGU to adopt new solutions. That include those that were presented in two studies related to this Manual, and even the strategies that will be presented in this Manual. Determining absorptive capacity applies to all types of organizations or communities.

WHAT TO ANTICIPATE FROM THE MANDANAS DOCTRINE? In the light of the implementation of Supreme Court's decision on the Mandanas Case, supported by Executive Order No. 138, the sudden increase of LGUs' IRA for the year 2022, obliged all the LGUs to underwent major capacity building activities. Likewise, it mandates the national agencies involved to provide various capacity building interventions as preparation to the full implementation basic services devolution including livelihood interventions.

If LGUs have low absorptive capacity, it may exacerbate the risks of wasting development funds especially from the government, may elicit corruption, and may reinforce social and political exclusion.

DETERMINING ABSORPTIVE CAPACITY OF DIFFERENT LEVELS OF LGU UISNG THE BESSANT & TIDD ABSORPTIVE CAPACITY SELF-ASSESSMENT[15] TOOL

STEP 1 Click this button ⇒ **BESSANT & TIDD ABSORPTIVE CAPACITY SELF-ASSESSMENT**

[14] As an alternative in clicking the button, NUMBEO can be accessed through this link - https://www.numbeo.com/crime/country_result.jsp?country=Philippines

[15] As an alternative in clicking the button, Bessant and Tidd Absorptive Capacity Self-Assessment Tool can be accessed through this link - https://docs.google.com/forms/d/e/1FAIpQLSf4NJPU_8za87tfh6k29DWxQ2VlamOKdksejy2qfRITWQsZcg/viewform?usp=pp_url

STEP 2 Take and complete the Bessant & Tidd Absorptive Capacity Self-Assessment Tool.

STEP 3 Wait for the result. The LGU may call an inter-department or interagency meeting to discuss the results and decide on how to develop absorptive capacity.

Note: *No need to add the score here in the LVI-CS or in Annex 3.*

C. LIVELIHOOD SENSITIVITY TO RISKS

NOTE BOX 5: LIVELIHOOD SENSITIVITY TO RISKS

Sensitivity is the degree to which livelihoods could be harmed by that exposure (Schneider, et.al., 2007). Enumerated below are the types of risks with each corresponding specific risk indicators:

a) **Economic Risks** – poverty, unemployment, underemployment, accidents in workplace, victim of scams, victims of illegal recruiters, transfer of residence, no life insurance, no livelihood property insurance, working without SSS/GSIS, bankruptcy of livelihoods, pawning personal properties, borrowing money from relatives and friends, with elderly family member w/o pension.

b) Technological Risks

c) **Population with inherent vulnerabilities** - demographic profile with inherent vulnerabilities (classifications of vulnerable groups under Republic Act 8425 or the Social Reform and Poverty Alleviation Act). Said population includes farmer-peasant, children, women, youth, artisanal fisherfolk, workers in the formal sector, ,migrant workers/OFW, workers in the informal sector, indigenous peoples and cultural communities, differently-abled persons, senior citizens, victims of calamities and disasters, internally displaced persons, living in informal settlements, and homeless.

d) **Individual Life Cycle Risks** - pregnant and lactating women, not-able to have pre and post- natal check-up, abortion, miscarriage, death of child or mother during birth, children not immunized, family member having disability due chronic illness/accident, death due to accident, prolong chronic illness, cannot buy needed medicines, death due to illness, children not enrolled in day care/preschool, children not enrolled in elementary, children not enrolled in high school, drop outs from elementary/high school, unable to enroll/stop studying in college, substance abuse (drugs and alcohol), teenage pregnancy (below 18 years old), stowaway children, separation of espouse, death of espouse /solo parent, insufficient food/hunger, and lack of WASH facility.

1. PROFILING LIVELIHOOD SENSITIVITY TO ECONOMIC RISKS

How to determine the prevalence of risk in a target population and the level of sensitivity to various economic risk variables?

STEP 1 Gather secondary data in each variable or conduct household interviews.

STEP 2 Calculate the prevalence rate or count of reported occurrences in each variable.

STEP 3 Decide on the level of sensitivity score. Please check Annex 3 on specific indicators under economic risks.

2. PROFILING LIVELIHOOD RISK SENSITIVITY THROUGH PROPORTIONS OF THE BASIC SECTORS

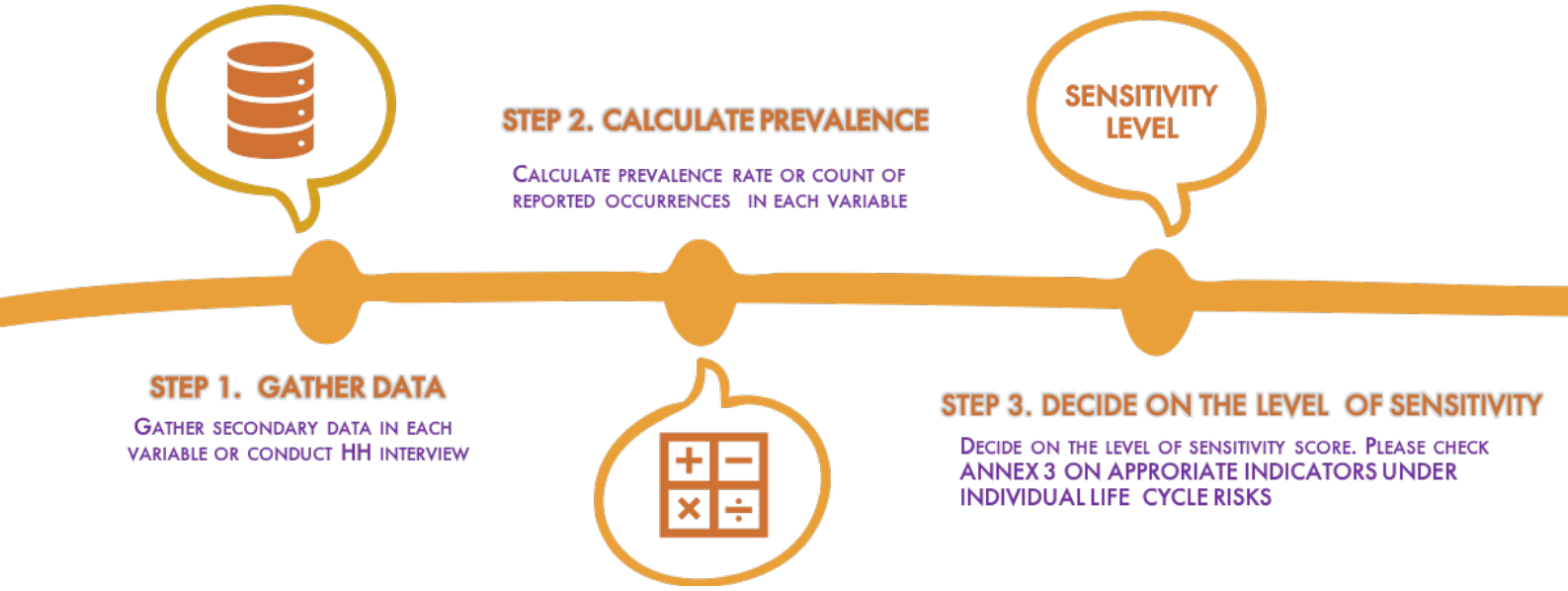
STEP 1 Determine the possibility of suffering from the potentially harmful event (natural disaster events, violence and conflict occurrences, economic shocks, and individual life cycle emergencies).

STEP 2 Indicate the prevalence of risk in each population segment.

STEP 3 Calculate vulnerability – Number of vulnerable individuals in a primary sector over total basic sector's population (example: proportion of vulnerable children over the total population of children).

STEP 4 Decide on the sensitivity score.

3. PROFILING LIVELIHOOD SENSITIVITY TO INDIVIDUAL LIFE CYCLE RISKS



D. CALCULATING LIVELIHOOD RISKS SCORE

STEP 1 Compute the average score of all indicators' score under exposure to climate change/ environmental and natural disaster risks = Average Score of Exposure to climate change/environmental and natural disaster risks or:

Livelihood Exposure to Climate Change/Environmental and Natural Disaster Risks =

$$\frac{\sum \text{climate change/environmental and natural disaster risks}}{\text{number of factors} * \text{number of indicators}}$$

STEP 2 Compute the average score of all indicators' score under exposure to social, governance, and political risks = Average Score of Exposure to under social, governance, and political risks or:

Livelihood Exposure to Social, Governance, and Political Risks =

$$\frac{\sum \text{social, political, and governance risks}}{\text{number of factors}}$$

STEP 3 Calculate the Livelihood Exposure Indicator Score = (Average Score of Exposure to climate change/environmental and natural disaster risks + Average Score of Exposure to under social, governance, and political risks)/2 or:

Livelihood Exposure Indicator Score =

$$\frac{\sum \text{climate change/environmental and natural disaster risks} + \sum \text{social, political, and governance risks}}{2}$$

STEP 4 Compute the average score of all indicators' score under sensitivity to economic risks = Average Score of Sensitivity to Economic or:

Livelihood Sensitivity to Economic Risks=

$$\frac{\sum \text{economic risks}}{\text{number of factors}}$$

STEP 5 Compute the average score of all indicators' score under sensitivity due to magnitude of population's proportion of the basic sector = Average Score of Sensitivity of Basic Sectors with Inherent Vulnerabilities or:

Livelihood Sensitivity to Basic Sectors with Inherent Vulnerabilities=

$$\frac{\sum \text{basic sectors with inherent vulnerabilities}}{\text{number of factors}}$$

STEP 6 Compute the average score of all indicators' score under sensitivity due to individual life cycle risks = Average Score of Sensitivity to Individual Life Cycle Risks or:

Livelihood Sensitivity to Individual Life Cycle Risks=

$$\frac{\sum \text{individual life cycle risks}}{\text{number of factors}}$$

STEP 7 Calculate the Sensitivity Indicator Score = (Average Score of Sensitivity to Economic Risks + Average Score of Sensitivity of Basic Sectors with Inherent Vulnerabilities + Average Score of Sensitivity to Individual Life Cycle Risks)/3 or:

Livelihood Sensitivity Indicator Score =

$$\frac{\sum \text{economic risks} + \sum \text{basic sectors' population magnitude} + \sum \text{individual life cycle risks}}{3}$$

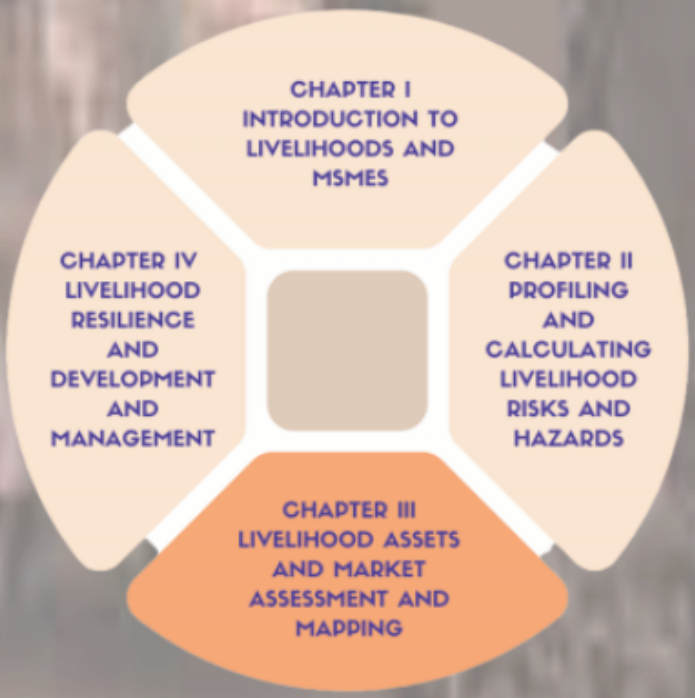
STEP 8 Calculate Livelihood Risks Score = (Exposure Indicator Score + Sensitivity Indicator Score)/2 or:

$$\frac{\text{Livelihood Exposure} + \text{Livelihood Sensitivity}}{2}$$

TABLE 4. REFERENCE TABLE FOR INTERPRETING LIVELIHOOD RISK SCORE

Livelihood Risk Score	Interpretation
Low (0.1– 1.5)	Low Risk indicates that the livelihood risk is low in terms of exposure and sensitivity. It is essential to examine the specific indicators that score the lowest and eventually probing on the success drivers of low exposure and sensitivity to risks. Low livelihood risks score rarely happen in Mindanao.
Moderate (1.6 – 2.5)	Moderate Risk indicates that the livelihood risk is moderate. Livelihood may, however, have significant exposure or sensitivity issues. The livelihood implementors should thoroughly examine indicators with high-risk scores. It is also necessary to investigate indicators with low-risk scores. These indicators with low-risk scores are stabilizing factors of livelihood. All the major destabilizing and stabilizing indicators should be studied very well by verifying and validating if the data used are appropriate, updated, and correct.
High (2.6 – 3.0)	High Risk indicates that the livelihood is highly exposed to various natural and man-made disaster risks, social, political, and governance risks, high sensitivity to economic risks, surrounded by population having inherent vulnerabilities, and households with high individual life cycle risks.

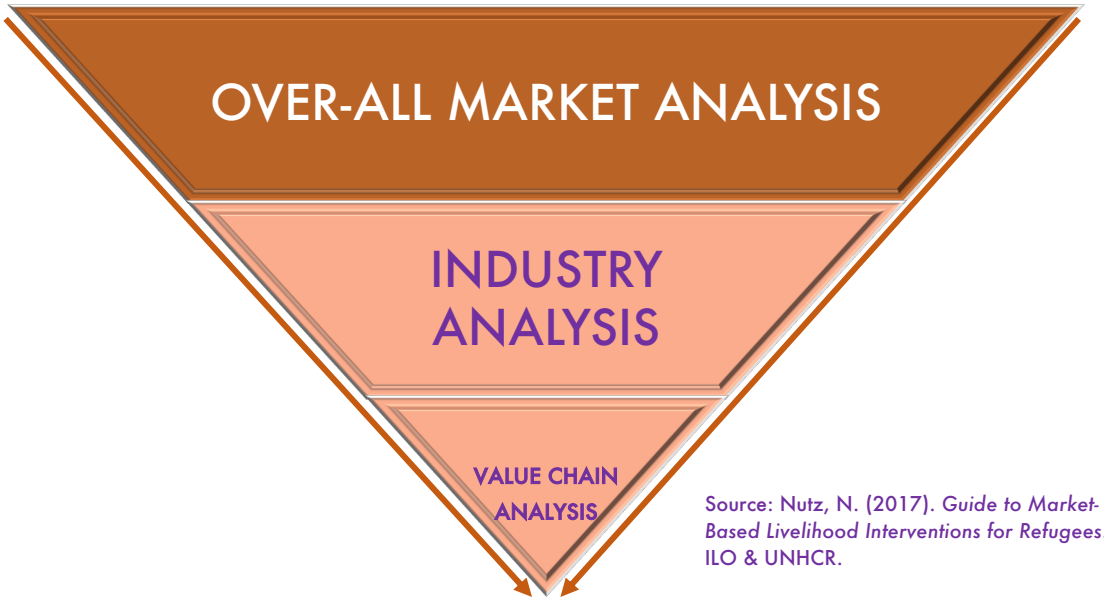
CHAPTER III: LIVELIHOOD ASSETS AND MARKET MAPPING



A. LIVELIHOOD MARKET ASSESSMENT

For livelihood interventions to become effective, it is crucial to have a good grasp of the economic environment, including current market trends, anticipated developments, sectors and subsectors with potential employment opportunities for livelihoods, which market demand exists. In practice, there are three (3) different options of approaches in market assessment: Overall-Market Analysis, Industry Analysis, and Value Chain Analysis. Figure 10 illustrates which of these approaches are general and specific.

FIGURE 10. APPROACHES IN MARKET ANALYSIS



Source: Nutz, N. (2017). *Guide to Market-Based Livelihood Interventions for Refugees*. ILO & UNHCR.

Having three (3) options of approaches in market assessment, Nutz (2017) specified three criteria to determine which among the 3 would be an appropriate approach. Such criteria should be thoroughly examined. See Note Box 6.

NOTE BOX 6. CRITERIA IN CHOOSING MARKET ASSESSMENT APPROACH

Potential for Growth and Employment Creation

- What is the overall size of the subsector with respect to volume and value of output, and contribution to gross domestic product, foreign direct investment, and employment share?
- What is the job creation potential, based on industry growth, size, employment elasticity, and number of and relative value added by medium, small, and micro-enterprises in the sector?
- What is the previous and forecast growth of the sector?
- What are the current levels of innovation, productivity, and competitiveness and/or collaboration in the sector?
- What are the main issues in relation to working conditions and are there opportunities to improve them?
- Do livelihoods face barriers to accessing markets in this sector? If so, what are they?

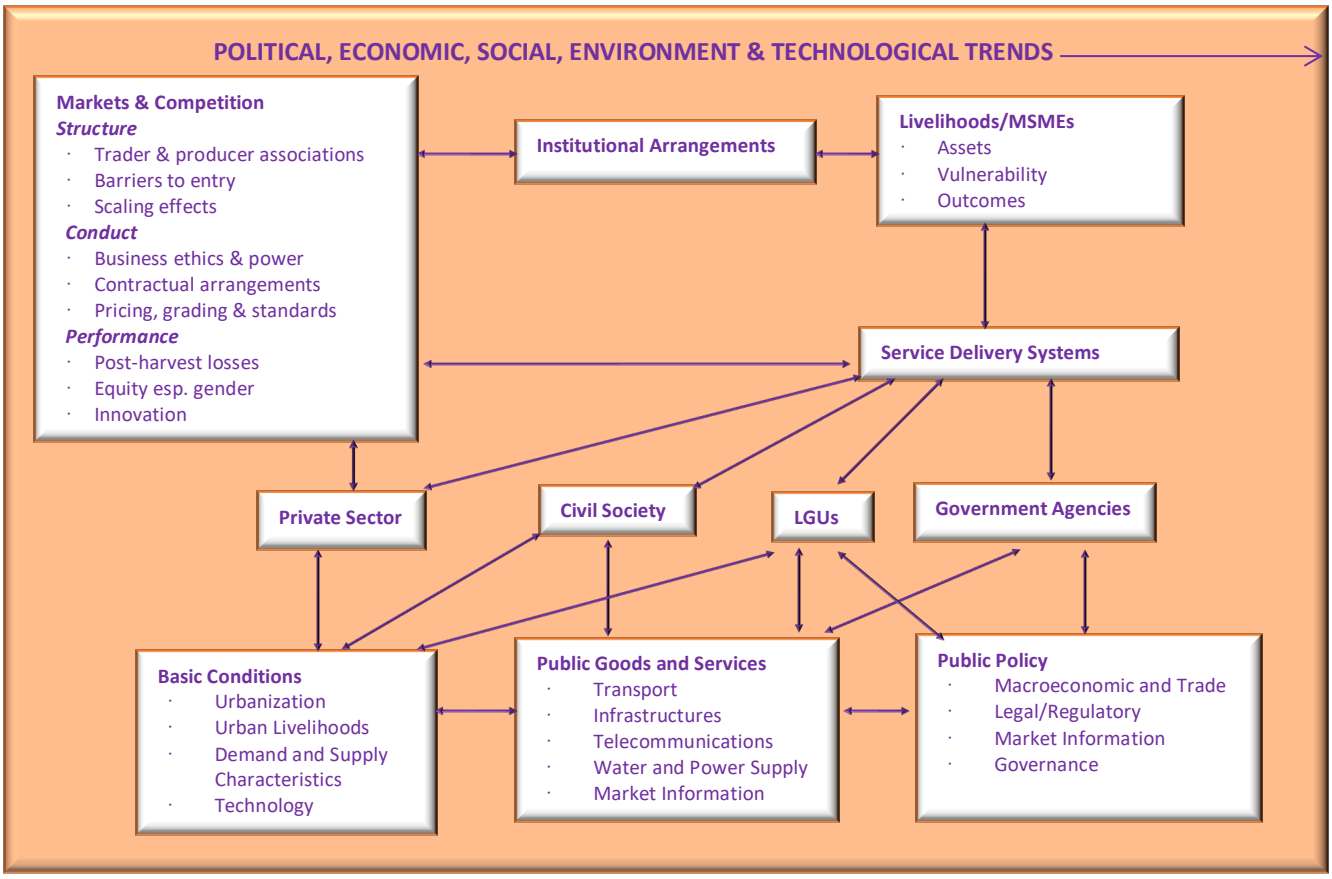
Relevance to the Target Population / Communities

- What is the estimated number of refugees already engaged in the sector (gender disaggregated)?
- How do refugees participate in the sector (as producers, workers, or consumers)?
- What are the major problems refugees face in the work they do in this sector?
- Is there potential to integrate (more) refugees in the sector?
- Do skills needed in the sector correspond to the profile of refugees in the location?

Feasibility of Interventions

- What is the feasibility of addressing the most significant challenges faced by poor workers given the current economic and political environment?
- What are the relevant government policies and programmes which influence this sector?
- Which donor programmes are present, where, and what are they doing/funding?
- Are there market players willing to change their business models/adapt new practices?
- Are there available training institutions, government ministries or other partner organizations that are willing to take part in and/or take responsibility for some elements of intervention in this sector?

FIGURE 11. ANALYTICAL FRAMEWORK IN CONDUCTING THE OVER-ALL MARKET ANALYSIS



Source: Adapted from Dorward, A. and Poole, N. *Markets, Risks, Assets and Opportunities: The Links Between the Functioning of Markets and The Livelihoods of the Poor.*

1. OVER-ALL MARKET ANALYSIS

The analytical framework set out in Figure 11, highlights the interrelationships of various factors and actors surrounding livelihoods/MSMEs. The framework presents the close relationships of livelihoods (top right corner) with the broader environment (political, economic, social, environmental, and technological), and especially with the market (at the top left corner) through institutional arrangements. Essentially, livelihoods should also be aware of the basic conditions, the level of urbanization, existing urban livelihoods, demand and supply, and technological characteristics.

Markets have established structures, business conduct standards, and performance characteristics. These three market arrangements affect the opportunities they present to the livelihoods. If institutional arrangements are functional as a bridging instrument for livelihoods, the latter will find it easy to interact with the market.

The framework also presents the influence of the private sector, civil society, LGUs, and government agencies to implement livelihood interventions through defined service delivery systems. Each actor has its role (for example, the LGU is expected to set an enabling public policy), own priorities, own interests in shaping service delivery systems. The effectiveness and efficiency of these service delivery systems shall significantly affect both livelihoods and markets and livelihood activities.

This framework helps structure and prioritize actions that would benefit the urban poor towards designing shock-responsive, resilient, and sustainable livelihoods.

TABLE 5. EXAMPLES OF TRENDS, PATTERNS AND FUTURE DIRECTIONS OF THE EXTERNAL ENVIRONMENT AND THEIR RELEVANT OPPORTUNITIES AND THREATS

MACRO-ENVIRONMENT	OPPORTUNITIES	THREATS
POLITICAL (Mandanas Ruling)	Increase in IRA for the LGUs	Low Absorptive Capacity may waste allocated resources
ECONOMICS (Decrease in interest rates)	Financing costs would go down. Can opt for greater financial leverage for expansion	Less number financing institutions would be lending money and wait for the increase in interest rates.
SOCIAL (Increasing population with greater purchasing power)	Increased demand for products and services offered Greater sales potential.	Increased supply for products and services from competitors, with lower prices.
ENVIRONMENT (Stricter anti-pollution controls and implementation)	Fewer incidences of respiratory diseases.	More difficulty in applying for business permits due to environmental regulations.
TECHNOLOGICAL (Proliferation of e-wallets)	Less cost and effortless transfer of payments	Availing products and services are less attractive if no option to pay through e-wallets

Source: Morato, E. (2006). *Strategic Planning and Management. Strategizing, Organizing and Implementing*. Pearson Prentice Hall

PRINCIPLES IN UNDERSTANDING MARKET AND LIVELIHOODS

The three guiding principles for markets to provide benefits to the vulnerable population (DFID, 2000).

- Facilitating access to human, financial, social, physical, and natural assets.
- Improving the returns on their assets.
- Meeting consumption needs.

NOTE BOX 7: STEPS IN CONDUCTING LIVELIHOOD MARKET ASSESSSMENT (LMA) AND MAPPING*

STEP 1 List down potential partners that may commit and engage in the provision of livelihood intervention.

STEP 2 Look for alignment of the livelihood interventions with priorities of regional development council, regional convergence committee, DTI priority products, key development generators are necessary.

STEP 3 Gather data on available and accessible natural resources within the province/city/municipality, government investments including LGU's Annual Investment Plan, Provincial/City/Municipal Development Plan, list of nearby commercial and financing institutions.

STEP 4 Determine the institutional arrangements in the province/city/municipality.

i. Describing the policies, systems and processes of organizations/agencies and institutions.
ii. Identifying the enabling policies, systems and processes of organizations/agencies and institutions for the urban vulnerable communities.
iii. Identifying the disabling policies, systems and processes of organizations/agencies and institutions for the urban vulnerable communities.
iv. Identifying areas of improvements and innovations in current institutional arrangements in which the urban vulnerable communities will benefit.

STEP 5 Carry out these activities/tasks to identify market opportunities, threats, and community economic activities.

1. Identifying traders and producers' associations
2. Identifying barriers to entry and determining the transaction costs and risks for different stakeholders
3. Determining the effects to the urban vulnerable communities of business scaling up of current market players.
4. Describing the business ethics and power.
5. Describing the contractual arrangements
6. Describing the arrangements in pricing, grading and standards.
7. Determining the losses of current market players
8. Describing the potential participation or entry points, income, and livelihood opportunities of urban vulnerable communities from the current market arrangements.
9. Identifying current assets of the urban vulnerable communities, activities they are engaged in, aspirations, and current livelihood strategies. Identifying the disabling policies, systems and processes of organizations/agencies and institutions for the urban vulnerable communities.

Check Tools 1 to 7: Livelihood Market Assessment (located in the Tools Section)

OVER-ALL MARKET VISUAL MAPPING

Analyzing and consolidating market information could be best illustrated by preparing a generic baseline map for a market system "in normal times" and another map visualizing the market system after a shock.

Check Tool 8: Baseline Map, and **Tool 9:** Shock Map. These tools present generic mappings for markets. These tools illustrate how to visually present assessed market information. The two maps need to be analyzed together. It is important to note that market mapping is an iterative process.

How to use Tools 8 and 9?

These are used to compare and analyze both market maps, to decide:

- which market actors and key informants the team should meet and the main issues to ask during their interviews (if needed);
- what are bottlenecks/constraints:
- how can livelihood interventions contribute to restoring the market system (e.g., products, prices, infrastructures, transport); and
- who would be the target beneficiaries (e.g., traders, producers, consumers).

2. INDUSTRY ANALYSIS

INDUSTRIES are defined according to raw material supply sources (essential ingredients like crops such as cassava, wheat, rice), intermediate products processed (like flour which comes from various crops), or end-products (like bread which comes from flour). Industries can also be defined according to product types, functions of the product or service.

Check Tool 10: Checklist in Analyzing an Industry

3. VALUE CHAIN ANALYSIS (VCA)

NOTE BOX 8: WHAT IS A VALUE CHAIN?

A **VALUE CHAIN** describes the full range of activities that are required to bring a product or service from conception, through the different phases of production (involving a combination of physical transformation and the input of various producer services), delivery to final consumers, and final disposal after use (Kaplinsky and Morris, 2000).

A value chain is a sequence of target-oriented combinations of production factors that create a marketable product or service from conception to the final consumption. This includes activities such as design, production, marketing, distribution, and support services to the final consumer. The activities that comprise the value chain can be contained within a single firm or divided among different firms, as well as within a single geographical location or spread over wider areas. The term "value chain" refers to the core idea that value is added to preliminary products through the combination of other resources (ILO, 2006).

Common purposes of doing value chain analysis include:
To identify areas in the process where a livelihood can increase its profits or reduce its cost.
To identify barriers in a certain industry affecting a livelihood as a part of the whole value chain.
To determine the relevance of a certain value chain to intended direct beneficiaries of a livelihood intervention.
To determine needed resources vis-à-vis available in terms of budgets, skills, and time frame and capacities of the implementing agencies.

The key to a VCA is to analyze the whole market system of the value chain, including the relevant supporting functions and rules and regulations, while keeping the specific skills and background of the target population in mind.

Analyzing the value chain needs to examine the three fundamental factors: processes and key players, supporting functions, and governing rules and regulations.

Check: Tool 11: Key Questions to be Answered in VCA; and **Tool 12**: Sample Simple Flow Chart of Leather Value Chain

B. LIVELIHOOD COPING STRATEGIES

NOTE BOX 9: COPING VERSUS ADAPTATION

The terms "adaptation" and "coping" are sometimes used interchangeably, leading to confusion about the similarities and differences between these two essential concepts. The following lists of characteristics are a compilation of brainstorming sessions by groups of development practitioners documented by CARE International and Climate Change, Agriculture and Food Security (CCAFS).

COPING	ADAPTATION
• Short-term and inmediate • Oriented towards survival • Not continuous • Motivated by a crisis; reactive • Often degrades the resource base • Prompted by lack of alternatives	• Practices and results are sustained • Oriented towards longer-term livelihood security • A continuous process • Involves planning • Uses resources efficiently and sustainably • Focused on finding alternatives • Combines old and new strategies and knowledge

Source: Jost, C., Ferdous, N., and Spicer T. D. p.17 (2014)

1. COMMON COPING STRATEGIES OF POOR HOUSEHOLDS

Meikle and her colleagues (2001) identified common coping strategies undertaken by poor urban households but are not sustainable (Table 6). These identified coping strategies are also employed by poor urban communities in the Philippines.

TABLE 6. REFERENCE TABLE FOR COMMON COPING STRATEGIES OF URBAN AND RURAL POOR

Mainly Urban	Urban and Rural
Income raising	
• Domestic service – e.g., cleaning and childcare (est. girls and women) • Urban agriculture • Renting out rooms	• Home gardening • Processing, hawking, vending • Transporting goods • Casual labor/piece work • Specialized occupations (e.g., tinkering, food preparation, shoe-shining, prostitution) • Child labor • Mortgaging and selling assets • Selling children into bonded labor • Migration for seasonal work • Seasonal food for work, public works & relief • Begging • Theft
Lowering expenditures	
• Scavenging • Cutting transport costs (e.g., walking to work)	• Changes in purchasing habits (e.g., frequent small purchases, rather than cheap bulk buys, and more inferior quality food than needs more extended preparation) • Stinting on goods and services (e.g., buying less and cheaper food) • Discrimination and triage (e.g., giving less food to weaker / less favored household members)
Social capital	
• Community kitchens (soup kitchens) • Shared childcare	• Mutual help (e.g., loans from friends or saving groups) • Family splitting (e.g., putting children out to others) • Remittances from household members working away

Source: Adapted from Meikle, S., et.al. January 2001. Working Paper No. 112. Sustainable Urban Livelihoods: Concepts And Implications for Policy

2. CURRENT COPING STRATEGIES IN MOVE UP 4 AREAS

Check Tool 13: Categorizing Coping Strategies in MOVE UP 4 Areas

Some "survival" coping strategies are normal, positive and can be supported. However, other strategies, sometimes called "disabling" strategies, may permanently undermine future financial and physical assets by negatively irreversibly impacting livelihoods. Several strategies identified are "empowering" coping strategies that facilitate access to human, financial, social, physical, and natural assets; improve the returns on assets; and meet consumption needs.

STEPS IN ANALYZING LIVELIHOOD COPING STRATEGIES

STEP 1 **Identify how households preserve their productive assets** to protect their livelihoods and ensure longer-term self-sufficiency in food and income. Identify and list the coping strategies mainly used for the different wealth/livelihood groups.

STEP 2 **Identify what coping strategies threaten health, safety, or dignity** by relating them to livelihood strategies commonly used and considered socially acceptable in each culture.

Distinguish between "coping" and longer-term "adaptation" strategies that may be applied as livelihood patterns change over time in response to the changing environment.

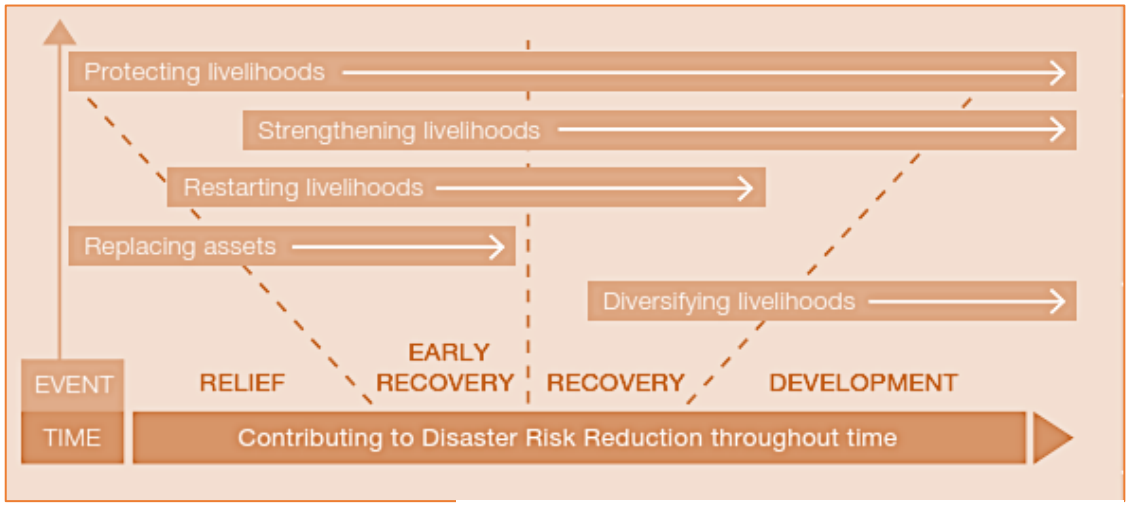
STEP 3 **Identify existing livelihood strategies that may already be damaging** the environment because they use up natural resources. Some coping strategies may put the environment at greater risk, such as increased production of charcoal and increased pressure on pasture around remaining water holes.

STEP 4 **Categorize coping strategies** to help you with the interpretation and analysis of the severity of a situation

C. LIVELIHOOD INTERVENTIONS

To build livelihood resilience or to allow livelihood speedy recovery after a disaster or conflict, livelihood interventions need to build on livelihoods-related capacities that already exist and that are viable in the local economy. Figure 12 represents several types of livelihoods interventions based on the most priority and most appropriate actions along the various DRRM and development phases. Such types of livelihood interventions are discussed in Note Box 10.

FIGURE 12. LIVELIHOOD INTERVENTIONS CONTRIBUTING TO DISASTER RISK REDUCTION OVER ALONG DRRM / DEVELOPMENT PHASES



Source: IFRC/ICRC, 2008. Guidelines for Assessment in Emergencies

NOTE BOX 10: TYPES OF LIVELIHOOD INTERVENTIONS ALONG THE DRR / DEVELOPMENT PHASES

REPLACING ASSETS. These types of interventions aim to replace social, physical, and financial assets and resources that have been lost. The immediate concern is to save lives and reduce immediate suffering through provision of basic resources like food, water, shelter, and health services required for survival. For livelihoods: productive assets and tools may be lost or damaged; employment opportunities and jobs vanished; breadwinners dead or injured; farmland assets and crops lost; and outside remittances unavailable. Addressing these immediate needs is often through resource transfers such as cash grants, free vouchers, or free food alongside labor-intensive cash-for-work schemes for activities such as debris clearing, environmental cleaning and road repairs that provide the population with much-needed cash until people can return to their previous occupations.

RESTARTING LIVELIHOODS. These types of interventions aim to restart or restore livelihood activities disrupted by disaster or conflict by repairing or replacing assets that were lost or damaged, provide inputs and support livelihoods-related markets so people can resume their income-generating activities. Programming here is less standard and depends on the disaster-affected population in each context; needs are examined and appropriate targeting mechanisms can be established.

STRENGHTENING LIVELIHOODS. These types of interventions aim to strengthen then the use of human and natural assets, resources, and coping strategies to achieve greater economic security and to increase resilience to future disasters or conflicts. Interventions can focus on improving the quality of physical assets, developing skills and techniques (for example, using better technology for irrigation or weaving, identifying new and improved marketing methods). Interventions should be designed to contribute to disaster risk reduction through promotion of more resilient livelihoods.

PROTECTING LIVELIHOODS. These types of interventions aim to **protect livelihoods activities throughout the post-disaster or post conflict** phase to allow the vulnerable population meet their immediate and ongoing needs. Resource transfers provided in relief and recovery interventions are often design to protect against a further loss of assets for the household. Other ways to protect livelihoods include better management of the natural resources used for livelihoods, improvement of early warning for disasters at the community level and access to financial services such as micro-finance including savings and microinsurance.

DIVERSIFYING LIVELIHOODS. These types of interventions aim to **diversify or transform livelihoods to achieve greater economic** security and development. Disasters can open a window of opportunity to improve people's resilience and to support poorer households to develop new livelihoods strategies and new skills. Diversification is usually more successful when it builds on an existing area of knowledge or experience and a sound understanding of the economy comlimented by various sustainable development interventions.

Annex 4 presents criteria for identifying appropriate livelihood interventions.

There are existing livelihood interventions and employment programs in MOVE UP 4 areas. Table 7 enumerates these livelihood interventions, and indicates the percentage of research respondents who perceived and confirmed that these interventions are implemented in their areas.

TABLE 7. CURRENT LIVELIHOOD INTERVENTIONS AND EMPLOYMENT PROGRAMS IN MOVE UP 4 AREAS

CURRENT LIVELIHOOD AND EMPLOYMENT PROGRAMS	% OF RESPONDENTS CONFIRMED THE IMPLEMENTATION IN THEIR AREA
DSWD-Sustainable Livelihood Project	80%
Social Pension for Indigent Senior Citizen	77%
Social Amelioration Program (SAP)	74.30%
Cash Assistance for Individual in Crisis(CAICs)	65.70%
Cash for Work	62.90%
Conditional/Unconditional Cash Transfer	62.90%
DOLE Integrated Livelihood Program (DILP)	60%
SPES or Special Program for Employment of Students (for in-and-out of school youth)	57.10%
Training for Work Scholarship (TWSP) with TESDA	48.60%
Training on cooperative and governance & strategic planning	48.60%
Communal gardening	45.70%
Training on financial literacy and value formation	42.90%
Tulong Panghanapbuhay sa Ating Disadvantaged / Displaced Workers (TUPAD)	40%
Training on the processing of agricultural commodities and inland fishery	40%

Support for marketing of farmer's products	40%
Provision of start-up /operating capital for cooperatives	40%
Loan for agricultural production	37.10%
Government Internship Program (GIP)	34.30%
Skills for Employment Scholarship Program (SESP)	34.30%
Provision of processing facilities, farm inputs, and machinery	34.30%
Free Crop Insurance (Subsidized) –rice, corn, HVCC, livestock, fishery	28.60%
National Reintegration Center for OFWs (NRCO) program	25.70%
Education and Livelihood Assistance Program (ELAP) with DOLE	25.70%
DOLE Educational Support Program (DESP)	25.70%
Sa Pinas "kaw ang Ma'am/Sir (SPIMS) program	22.90%
Assist WELL (Welfare, Employment, Legal, Livelihood) program	22.90%
Community-based Training Mobile Laboratory	22.90%
OFW Dependents Scholarship Program (ODSP)	22.90%
Affordable Life Insurance (ADSS) for all Agriculture Stakeholders	22.90%
Congressional Migrant Workers Scholarship Program (CMWSP)	20%
Pre-employment orientation seminar for overseas	20%
Halal Capital/investment program	2.90%

The top five (5) existing livelihood interventions and employment programs in MOVE UP 4 areas include DSWD -Sustainable Livelihood Program (80%), Social Pension for the Indigent Senior Citizens (77%), Social Amelioration Programs (74.3%), CAICS (65.70%)I Cash for Work and Unconditional/CCTs (62.90%). DOLE Integrated Livelihood Programs (DLIP) is at top 6 with at 60%), and at top seven is Special Program for Employment of Students (SPES) with 57.10%.

Several LGUs have their livelihood interventions and employment programs, while other LGUs piggyback their livelihood interventions and employment programs with that of national agencies'.

D. IDENTIFYING GAPS AND NEEDS

STEPS IN IDENTIFYING GAPS AND NEEDS

STEP 1 **Assess gaps and needs through Livelihood Risks versus Livelihood Resilience or Livelihood Assets.** Livelihood Risks can be calculated using the Livelihood Vulnerability Index Calculation System. Please see Annex 3 for the calculation. In deciding appropriate indicators and calculating LVI, it is critical to take note of priority risks (exposure and sensitivity indicators) and priority resilience indicators for interventions. Livelihood Assets can be calculated by converting the descriptors in the second column of **Tool 17** into numerical scores. As a summary, the result is shown in Tool 14. The illustration indicates that the Livelihood Risks outweigh the Livelihood Resilience/Assets.

Check Tool 14: Summary of Livelihood Risks and Assets Calculation

STEP 2 **Identify gaps and needs using Impact Probability Chart**. The visualization of risks impact (I) and probability of occurrence (O) is a tool in identifying gaps and needs (**Tool 15**) by looking at high-level risks and moderate-level risks as priority gaps or risks in this case, that need to be addressed with higher resource investments.

Check Tool 15: Livelihood Risk Probability Impact Chart

The gaps that could be deduced in Tool 14 and 15 are pointing to a low level of Livelihood Assets or a Low Level of Resilience Capacities. Therefore, the needed interventions are to grow livelihood assets, build livelihood resilience capacities (as informed by livelihood risks), and address the livelihood risks through effective, efficient, and inclusive economic policies, programs, and projects; climate change adaptation strategies; employment of disaster risk reduction and management strategies; conflict-sensitive and peace-building measures.

Identify gaps by comparing the results of current coping strategies versus contemporary livelihood interventions. For example, disabling and survival coping strategies may indicate that the current livelihood and employment interventions need to expand its target reach and covered areas. These two coping strategies also suggest that there is a need to review its targeting criteria.

Check Tool 16: Sample Needs, Gaps, Coping, and Response Matrix

Identify gaps through assessing knowledge and skills in applying Shock-Responsive, Resilient, and Sustainable Livelihood Interventions. During the conduct of collective analyses and validation exercises, there were obvious reasons why there is a need to hone knowledge and skills in the following areas:

- Designing appropriate livelihood intervention guided by the results of LVI-CS.
- Business development services to strengthen critical livelihood functions and operations.
- Gathering necessary baseline and secondary data on livelihood risks and assets context.
- Conducting of Livelihood Assets and Market Mapping in combination with the value-chain approach.
- Determining empowering coping strategies and livelihood resilience-building strategies. It was observed that more attention is needed on the risk-transfer mechanisms (RTMs).
- Scaling up the application of Islamic finance practices and principles.

E. LIVELIHOOD ASSETS ASSESSMENT

LIVELIHOOD ASSETS refer to the resource base of people. Assets are consisting of the following five categories: natural resources (also called natural capital), reproducible physical goods (physical capital), monetary resources (financial capital), human resources with different skills (human capital), social networks of various kinds (social capital).

These various livelihood assets may be be assessed by livelihood primary stakeholders using **Tool 17**, the Livelihood Assets Assessment Tool. It considered SLF and insights from two studies related to this Manual. The scoring in each indicator adopts a simple scoring as follows:

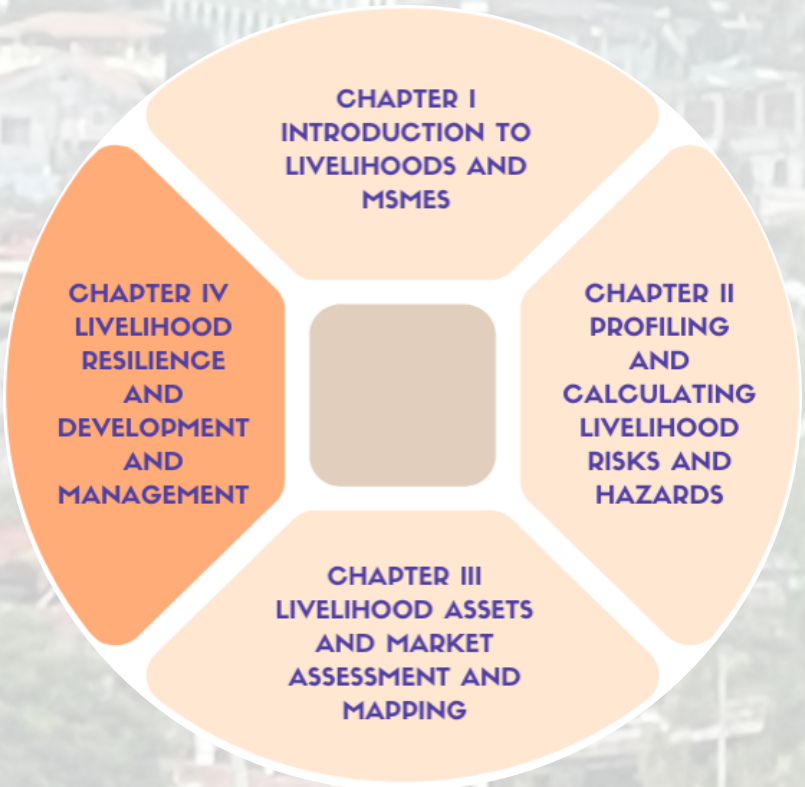
1 - Low; 2 - Moderate; 3 – High

Low or 1 indicates that the area or population being assessed has low possession or access to all capital/assets. *Moderate or 2* means that the area or population being considered has moderate possession or access to several capital/assets. *High or 3* indicates that the area or population being assessed has high possession or access to almost all the capital/assets.

Criteria and indicators in this assessment tool are guides for Shock-Responsive, Resilient, and Sustainable Livelihood Planning, the core content of the next chapter.

Check Tool 17: Livelihood Assets Assessment Tool

CHAPTER 4:
LIVELIHOOD RESILIENCE DEVELOPMENT & MANAGEMENT



A. LIVELIHOOD RESILIENCE AND LIVELIHOOD VULNERABILITY INDEX

NOTE BOX 11: VULNERABILITY AND RESILIENCE

Resilience is the degree to which a system can tolerate the potential harm from exposure or sensitivity to risks, while it maintains its structure, basic functioning, operation and organization (TRANSFORM, 2020).

Adaptive capacity is the degree of social and technical skills and strategies of human systems to mitigate the potential harm from exposure or sensitivity to risks.

Resilience and adaptive capacity are not similar, but their definitions are aligned. Resilience covers a broader system, an interplay of human and natural systems, or one or the other of these subsystems, adaptive capacity meanwhile is more narrowly focused on the specific skills and mechanisms that are deployed by human systems to contribute to resilience.

Both resilience and adaptive capacity are opposites of exposure and sensitivity. Either resilience or adaptive capacity can complete the whole equation of vulnerability assessment. Therefore, climate change adaptation (CCA) is a technically correct nomenclature in the parlance of climate change. It is also correct to use adaptive capacity in the mathematical equation employed in vulnerability assessment for climate change and natural disasters. Thus:

VULNERABILITY = EXPOSURE + SENSITIVITY – ADAPTIVE CAPACITY

When multiple risks are already included in the whole picture like in the context of Mindanao, wherein there are apparent intersections of climate change, environment, natural disasters, social, governance, political, economic, and individual life cycle risks; **replacing adaptive capacity with resilience in the mathematical equation to assess vulnerability is the most scientific and technical approach**. Thus:

VULNERABILITY = EXPOSURE + SENSITIVITY – RESILIENCE

This explains why the use of **five (5) variations of resilience (social, economic, infrastructure, environmental, and institutional) in Livelihood Vulnerability Index Calculation System**. It is a correct expression of adopting the MOVE UP Resilience Framework (See Figure 13) And since this Manual also adopts Sustainable Livelihoods Framework, the criteria and indicators assessed under resilience are combined with criteria and indicators of livelihood assets.

Personal resilience is added due to demand and need of research participants-respondents, and as suggested by DSWD-SLP and MOVE UP 3 in 2020 (Silva, 2020).

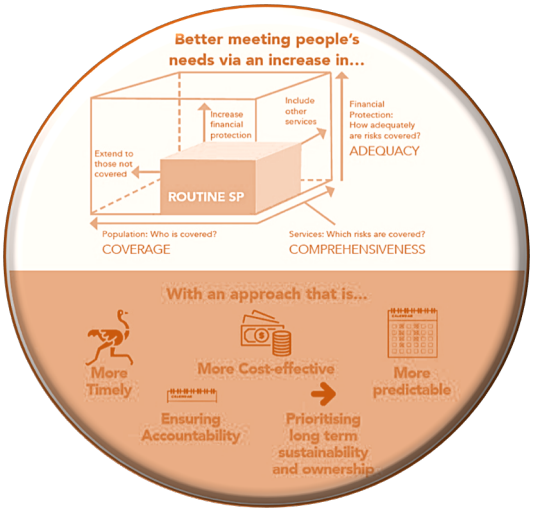
Please see Annex 3. This systematic combination, gives stakeholders a room to enhance the whole process. Thus:

Building or Enhancing Personal Resilience = Improving Human Capital
Building or Enhancing Social Resilience = Improving Social Capital
Building or Enhancing Economic Resilience = Enabling Growth for Financial Capital
Building or Enhancing Infrastructure Resilience = Enabling Growth for Physical Capital
Building or Enhancing Environmental Resilience = Protecting and Preserving Natural Capital
Building or Enhancing Institutional Resilience = Enabling Growth and Returns from Livelihood Assets

FIGURE 13. MOVE UP RESILIENCE FRAMEWORK

Source: Silva, A. (2020). Policy Research Report

FIGURE 14. SHOCK RESPONSIVE SOCIAL PROTECTION & SHOCK-RESPONSIVE LIVELIHOOD FRAMEWORK



Source: TRANSFORM (2020). *Shock Responsive Social Protection*

NOTE BOX 12: DEFINING SHOCK-RESPONSIVE LIVELIHOOD (TRANSFORM, 2020)

What is shock?
A potentially damaging hazard or other phenomenon. A shock can also refer to the moment at which a s low-onset process (a stress) passes its 'tipping point' and becomes an extreme event. Not every shock result to an 'emergency', 'crises or 'disaster'.

What are the categories of shocks?

- **Covariate shock**: shocks that affect a large proportion of the population simultaneously.
- **Idiosyncratic shock**: shocks that affect individuals or households.

What is Shock-Responsive Social Protection (as illustrated in Figure 14) is a program or policy addressing poverty and vulnerability engaging all social protection sectors to better meet people's needs compared to the status quo and compared to any alternative through:

- greater coverage, adequacy, and comprehensiveness of assistance
- ensuring timeliness, cost-effectiveness, accountability, predictability, and ownership & sustainability.

Therefore:

Shock-responsive livelihoods (as a subset of social protection) is a protection intervention addressing poverty and vulnerability engaging livelihood ecosystem to achieve livelihood outcomes through:

- greater coverage, adequacy, and comprehensiveness of assistance; and
- ensuring timeliness, cost-effectiveness, accountability, predictability, and ownership & sustainability.

STEPS IN CALCULATING LIVELIHOOD RESILIENCE

STEP 1 Plot the livelihood assets assessment output.

STEP 2 Compare the livelihood assets output to Livelihood Resilience Section of Annex 3. Look for factors or indicators which are present in livelihood assets output but not in the Livelihood Resilience Section of Annex 3.

STEP 3 Add factors or indicators which are present in livelihood assets to Livelihood Resilience Section of Annex 3. Decide on the level of resilience in each indicator.

STEP 4 Calculate Livelihood Resilience by getting the average scores of personal resilience, social resilience, economic resilience, infrastructure resilience, environmental resilience, institutional resilience and divide the result by six (6) or:

$$\text{Livelihood Resilience} = \frac{\sum \text{personal resilience} + \sum \text{social resilience} + \sum \text{economic resilience} + \sum \text{infrastructure resilience} + \sum \text{environmental resilience} + \sum \text{institutional resilience}}{6}$$

STEPS IN CALCULATING LIVELIHOOD VULNERABILITY INDEX

STEP 1 Go back to Section D of Chapter 2 of this Manual or in Exposure and Sensitivity Sections of Annex 3. Add the scores of Livelihood Exposure and Sensitivity.

STEP 2 Subtract the score you got on Livelihood Resilience.

STEP 3 Get the Livelihood Vulnerability Score. The formula is:

LIVELIHOOD VULNERABILITY (LV) =

LIVELIHOOD EXPOSURE + LIVELIHOOD SENSITIVITY – LIVELIHOOD RESILIENCE

STEP 4 Calculate the Livelihood Vulnerability Index (LVI) with this formula:

$$\text{LVI} = \frac{\text{Livelihood Vulnerability Score - Minimum (Livelihood Vulnerability Score)}}{\text{Maximum (Livelihood Vulnerable Score) – Minimum (Livelihood Vulnerable Score)}}$$

$$\text{LVI} = \frac{\text{Livelihood Vulnerability Score - 3}}{6 - 3}$$

The **Livelihood Vulnerability Index (LVI)** is scaled version of the Livelihood Vulnerability Indicator Score, with values ranging from 0 (least vulnerable value) to 1 (most vulnerable value). To interpret LVI, see table below:

TABLE 8. REFERENCE TABLE FOR INTERPRETING LVI

LVI	Interpretation
Low (0.0 to 0.2)	This indicates a relatively resilient livelihood. The best strategy to employ is to encourage replication of best practices and policies to other livelihoods with high vulnerability. It is still possible, however, that moderate exposure and sensitivity exist in the livelihood with regards to one or several indicators or factors under exposure or sensitivity. Prioritization measures should be taken into account after examining the LVI structure when doing the Livelihood Resilience Planning.
Moderate (0.3 – 0.5)	This indicates that the livelihood being assessed is in moderate condition. It may already has a major exposure and sensitivity issues, however, with regards to either technical support or resilience capacity-building. Thus, major interventions in Livelihood Resilience Planning shall be indicated to prevent near-crisis scenario. Stakeholders should focus on the main risks identified after examining the LVI structure, and interventions should be designed to overcome key risks faced by the livelihood. A longer-term and livelihood strategies should be made, with a focus on strengthening livelihood resilience capacity to deal with risks and hazards.
High (0.6 – 1.0)	This indicates the livelihood is highly exposed to risks and hazards, and has high sensitivity to various risks and hazards. It has also a poor resilience capacity. Resilience building and mitigating risks will require major commitment and resources from both government and other stakeholders. Resilience strengthening will be a long process, and an integrated resilience plan should be made at the system level, with involvement from international, national, local level agencies, CSOs, and private sector.

B. SETTING LIVELIHOOD OUTCOMES AND INDICATORS

Knowing LVI is the take-off point to set the Livelihood Outcomes. Studying the structure of LVI will guide the stakeholders on what priority directions shall be set. Livelihood outcomes can be summarized into eight (8) measurable priority outcomes: 1) Survival and Livelihood Protection Threshold, 2) Ownership and Access to Productive Assets, 3) Productivity Enhancement, 4) Increase and/or Diversification of Incomes, 5) Gain and Application of Livelihood Activities Knowledge, 6) Access to Livelihood Support Services and Markets, 7) Disaster Risk Reduction and Natural Resources Management, and 8) Livelihood Rights, Policies and Regulations Improvement.

NOTE BOX 13: LIVELIHOOD OUTCOMES

(Adapted from IFRC - Livelihoods Resource Centre within the framework of the ERC-ECHO program)

Survival and Livelihood Protection Threshold – Change or improvement of household ability to meet survival and livelihood protection thresholds. It includes households' capacity to respond to their immediate needs, to restore their livelihoods and to change the use of negative coping strategies.

Ownership and Access to Productive Assets - Change in number of productive assets owned or accessed by target population (households, communities, productive associations). It includes the capacity to protect or replace productive assets after a shock, increase the number and/or the improvement or access to improved assets. Considers the equitable access to productive assets.

Productivity Enhancement - Increase of productivity (primary production, income generation activities, etc.), considering that it means the relationship between production and resources/time dedicated to obtaining them. It includes the increase of production, the reduction of resources and/or the reduction of production losses.

Increase and/or Diversification of Incomes - Increase and/or diversification of household's income in a sustainable way. It includes all kind of interventions that promote and strengthen formal or informal employment creation (considering both employment and self-employment), promote the income generation sources diversification, and stabilize and strengthen existing sources of incomes to increase the net incomes.

Gain and Application of Livelihood Activities Knowledge - Improvement of livelihood activities knowledge and application of these livelihood new practices/knowledge/techniques; it includes both aspects GAIN OF KNOWLEDGE and APPLICATION of this new knowledge for all kind of livelihood activities (primary production, transformation, etc.)

Access to Livelihood Support Services and Markets - Increase the households/ communities/ productive associations' capacity to access to markets and/or other livelihood support services (formal or informal). It includes access to markets, extension workers training and services, veterinary services, legal advisor services or all kind of formal/informal financial services.

Continuation of NOTE BOX 13: LIVELIHOOD OUTCOMES

Disaster Risk Reduction and Natural Resources Management. Protection and strengthening of household/community livelihoods through Disaster Risk Reduction, Climate Change Adaptation and Natural Resources Management practices. It includes all kind of activities aimed to strengthen, adapt, and protect households/community livelihoods and/or their productive assets/capitals (such as natural or physical capital) against natural hazards and damaging production practices.

Livelihood Rights, Policies and Regulations Improvement - Strengthen enabling environment for improving livelihood development. It includes all levels of advocacy interventions (community, local and national level) to allow equal rights, access, and opportunities in livelihoods; as well as interventions aimed to reinforce local and national structures and processes to allow the improvement of livelihood development and protection.

Check Tool 18: Converting Livelihood Outcomes into Indicators

C. LIVELIHOOD RESILIENCE AND SUSTAINABLITY PLANNING

1. BUILDING AND ENHANCING ECONOMIC AND INFRASTRUCTURE RESILIENCE: ENABLING GROWTH FOR FINANCIAL AND PHYSICAL CAPITAL

NOTE BOX 14. LGUs' BEST POLICIES AND PRACTICES IN ENHANCING ECONOMIC AND INFRASTRUCTURE RESILIENCE ENABLING FINANCIAL AND PHYSICAL CAPITAL GROWTH

1. Supporting micro, small, and medium enterprise (pp68 of National Capital Regional Development Plan).
2. Formulating ordinance for risk financing, better risk adaptation and recovery financing for MSMEs like livelihood insurance or livelihood asset insurance, fire insurance, natural catastrophe insurance, and insurance for enterprise employees with streamlined procedures, rapid payment, a repayment exemption period, and incremental increases in repayment amounts.
3. Allocating not less than 5% of the estimated revenue from regular sources to the LDRRMF. Payment to premiums for calamity insurance may be included (Section 6.1). The basis for the allocation shall be the LDDRM Plan and should be incorporated in CDP, LDIP, and AIP (Section 6.1 of DILG Memorandum Circular No. 2015-77 on Guidelines on Mainstreaming Climate Change Adaptation and Disaster Risk Reduction in Local Development Planning).
4. Ensuring DRRM and CCA risk assessments as part of the legal requirements, and are implemented, for planning all new economic zones or industrial precincts intended to cluster MSME and undertake risk assessments and any necessary mitigation measures to reduce exposure in existing zones.
5. Identifying ways to focus livelihood resilience initiatives: at city level; within designated industrial areas, for example, special economic zones, such as the Agro-Industrial Economic Zones, or Technology Parks and Centers and Tourism related zones; and in particular industry sectors.
6. Inclusion of livelihood needs in city DRRM policies, plans, strategies and resource allocations for DRR, awareness-raising, CBDRR, risk assessments, and risk mapping, especially in DRR, prevention and preparedness.
7. Formulating policies that promote locally driven and market-driven livelihood and putting emphasis on value chain development support;
8. Using existing channels in business finance, insurance and taxation to provide financial incentives, exemptions, conditions, and/or requirements for disaster risk assessments and evidence of resilient livelihood enterprise continuity plan. For example: access to some forms of business registration and/or grants, training, or other business development support could be made dependent on investment in disaster-resilient BCP; investment in disaster-resilient BCM could be tax deductible, along with associated BCP-preparation and training; micro credit and small business loans criteria could include environmental and enterprise disaster risk assessment and/or BCP or other mitigation measures as part of the credit assessment (while ensuring this does not further restrict MSMEs access to credit).
9. Securing alignment of polices with DSWD's SLP, DSWD Memorandum Circular 22 Series of 2019 and DOLE's ILEEP through complementation of resources in the delivery of livelihood interventions.

1.1 VARIOUS LIVELIHOOD STRATEGY OPTIONS TO BUILD ECONOMIC AND INFRASTRUCTURE RESILIENCE

This Process Manual presents six (6) common livelihood strategy options. The main determinants for the choice of strategy by livelihood stakeholders are the livelihood outcomes that were set. Other factors that may influence the choosing of strategy may be the context and capacity of livelihood

stakeholders. **These strategy options are not mutually exclusive.** While a dominant strategy may be used for specific purposes, a combination of these strategies can be pursued (see Note Box 15).

NOTE BOX 15. VARIOUS ENTERPRISE STRATEGIES AS LIVELIHOOD STRATEGY OPTIONS

Strategy is a plan covering the right duration for the industry situation, which defines and shapes the objective of an organization - matching resources to the expectations and needs of customers, the market environment, and stakeholders (Jones, 2015).

Strategic Positioning – aims to find a position of sustainable competitive advantage – through either doing different things to the competition or doing the same things but in a better way (Jones, 2015).

VARIOUS ENTERPRISE STRATEGY OPTIONS

1. **Empowerment Strategy** (Dacanay, 2004)– have the objective of making the primary stakeholders (PS) own, control, and manage livelihood/enterprise. Such strategy may be self-initiated by the primary stakeholders and led by social entrepreneur from among their ranks, assisted by external stakeholders. There are two types of empowerment strategies (see Table 9 for comparison):
   - Direct empowerment strategy
   - Devolutionary strategy

2. **Intermediation Strategy** (Dacanay, 2004) – are mainly concerned with providing primary stakeholders access to critical services in their numbers. The social entrepreneurs in this context set up an enterprise they own, control, and manage and make it grow. Such an enterprise acts as an intermediary organization. There are two variations of intermediation strategy (see Table 10 for comparison):
   - Functional Intermediation Strategy
   - Progressive Intermediation Strategy

3. **Adaptive Strategy** (Morato, 2006) – naturally grows from existing livelihood/ enterprise activities. Natural ways of strategy adaptation include:
   - Geographic expansion (expansion from local to key cities and provinces)
   - Product/service line expansion (cater to other market segments of the same industry)
   - Organizational expansion (franchising, branching, distributing, outsourcing, subcontracting, and other forms of networking and linkaging) idea for further elaboration and evaluation.
   - Horizontal integration (entering industries that are related to, supportive of and complementary with the enterprise 's main products or services), and
   - Vertical integration (the process of acquiring livelihood operations in the same industry or taking control over one or more stages in the production or distribution of a product).

4. **Creative Strategy** (Morato, 2006) – At a certain point in the growth and development of an enterprise, there is a need to craft creative strategies that would transform both the enterprise and the people. There are five (5) variations of creative strategy:
   - Benchmarking with other industries – Looking at similar industries to make meaningful comparisons towards generating different and creative strategy
   - Reconfiguring product or service – Listing down all the attributes of the product or service currently being delivered by describing the product's shape, size, color, features, accessories, and amenities. From each of these attributes, list down alternative shape, size, color, features, accessories, and amenities. Once these alternatives are generated, it is important to mix, combine, and permutate them into many possible reconfigurations until the most exciting ideas come out.
   - Altering customer attitudes and behavior – If a product or service is not attracting customers anymore, change the customers' attitudes and behavior to rediscover and becomes attracted with the product once again. Changing customer behavior follows Foggs' Behavior Design Model, with a formula of:

     BEHAVIOR = MOTIVATION + ABILITY + PROMPT or B= MAP

     Motivation – when motivation is high, people not only act when prompted, they can also do difficult things.
     Ability – the harder a behavior is to do, the less likely the person to do it. Both motivation and ability can work together.
     Prompt – If there is no prompt, the levels of motivation and ability do not matter. Either the person is prompted to act or not.

   - Metaphoring and the Bonsai Method – Likening the enterprise to a situation or phenomenon that comes from different world but shares similar characteristics with the enterprise. The process involves generating lots of possible directions or solutions from the similar situation or phenomenon. These solutions are then brought back to the world of the enterprise by asking how the similar situation could possibly translate into an enterprise solution. The bonsai method is an extended metaphor. In a Japanese garden, the bonsai represents Mother Nature, albeit in a stylized and miniaturized form.

Continuation of NOTE BOX 15. VARIOUS ENTERPRISE STRATEGIES AS LIVELIHOOD STRATEGY OPTIONS

- Brainstorming and Prototyping - originally developed by Alex Osborn in 1938, which admonishes the members of the brainstorming group not to argue, criticize, debate, and evaluate ideas. The point of brainstorming is to produce as many novel ideas or solutions as possible (50 to 100) within 10 to 20 minutes. The more promising ideas from the brainstorming session must be converted into "tangible" or comprehensible opportunities. This can be done if rough prototypes of products or services can be built for critiquing. The purpose of prototyping is to submit the creative idea for further elaboration and evaluation.

5. **Ideological Strategy** (Morato, 2006) – The main determinant of the strategy is adherence to the spiritual dogma, stipulated governance system or maximized benefits to disadvantaged beneficiaries. It also looks at how the enterprise anchor its strategy on universal principles, core beliefs, and basic human tenets.

6. **Rational, Sequential and Analytical Strategy** (Morato, 2006) – Logical and step by step process that relies on the faculties of the left brain. Such strategy uses science of correct reasoning. It suggests that inductive or deductive thought processes must follow a sequential linear pattern (see Figure 15 for sample). The two sequential processes include:
   - Top to Bottom
   - Bottom - Up

TABLE 9. COMPARISON BETWEEN DIRECT EMPOWERMENT AND DEVOLUTIONARY STRATEGIES

TYPE OF EMPOWERMENT STRATEGY	OWNERSHIP AND CAPITALIZATION OF PS	PS ROLE IN STRATEGIC DECISION MAKING AND OPERATIONS	BENEFITS DERIVED BY PS AND THE NATURE OF AVAILMENT PROCESS
Direct empowerment strategy	Majority-owned to fully owned at inception	Substantive to full control at inception	Characterized by gestation period of capacity and capital build up to set up the enterprise; services and dividends/profit share reaped after setup
Devolutionary strategy	None to less than majority at inception but progressively divested over time	None to insignificant at beginning, but building undertaken toward devolution	Services availed of immediately, simultaneous with capacity and capital build up; dividends/profit share proportionate to divestment

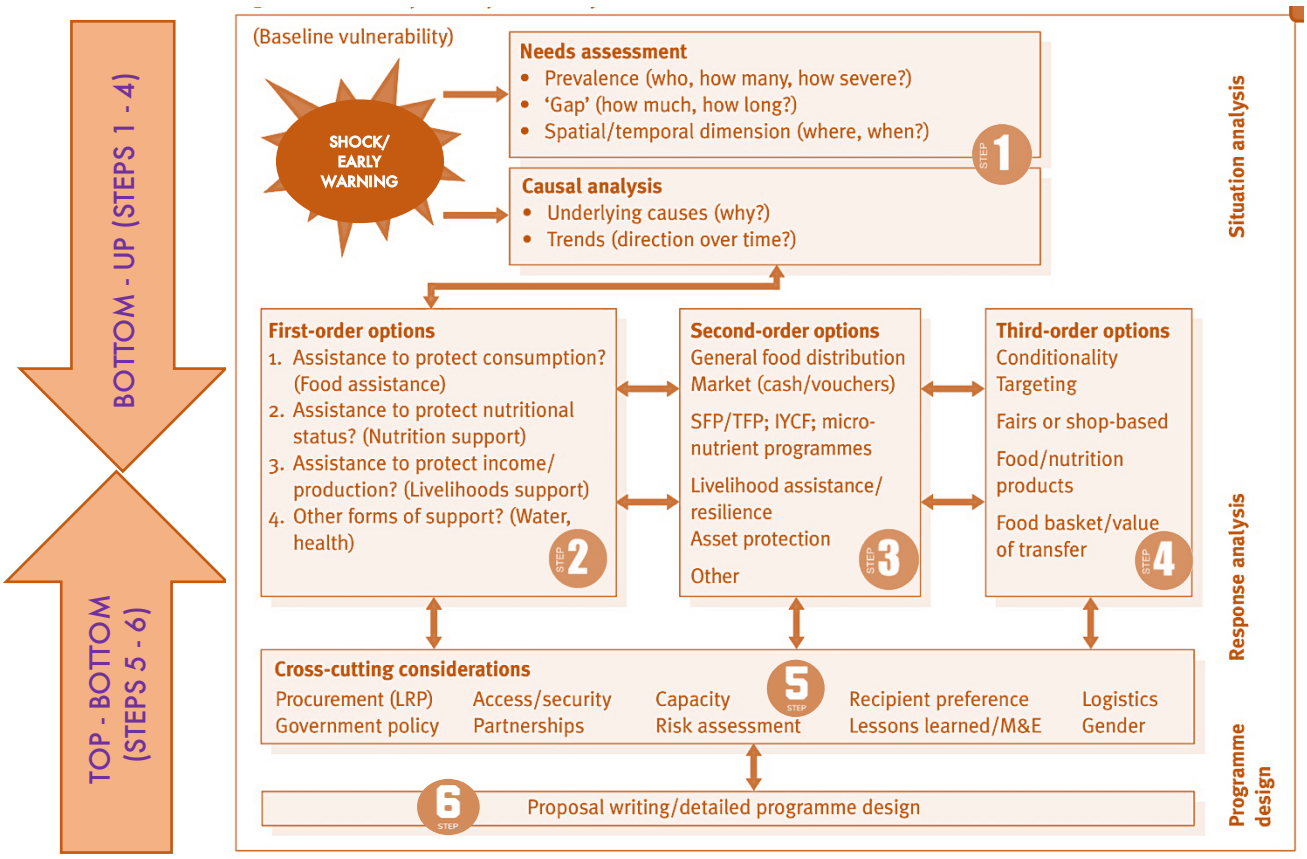
Source: Adapted from Dacanay, M.L.M (2004).

TABLE 10. COMPARISON BETWEEN FUNCTIONAL INTERMEDIATION AND PROGRESSIVE INTERMEDIATION

TYPE OF INTERMEDIATION STRATEGY	OWNERSHIP AND CAPITALIZATION OF PS	PS ROLE IN STRATEGIC DECISION MAKING AND OPERATIONS	BENEFITS DERIVED BY PS AND THE NATURE OF AVAILMENT PROCESS
Functional intermediation strategy	None (owned by social entrepreneur)	Consulted and assisted to effectively participate in social enterprise system	Access to markets, technological and other services secured
Progressive intermediation strategy	Initially none but over time may be brought in as minority shareholders, or some PS may be assisted to set up their own enterprise	Same as above at inception but would progressively change over time, commensurate to shareholdership and capacity built	Same as above at inception but would progressively change over time, commensurate to shareholdership and capacity built

Source: Adapted from Dacanay, M.L.M (2004).

FIGURE 15. SAMPLE RATIONAL, SEQUENTIAL, AND ANALYTICAL STRATEGY: ROADMAP FOR RESPONSE ANALYSIS



Source: Maxwell, D., Stobaugh, H., Parker, J., and McGlinchy, M.

1.2 STEPS IN DEFINING STRATEGY (Jones, 2015)

STEP 1 **Set direction in a given time period.** A clear understanding of the appropriate and actionable direction(s) it must follow over the right period for the industry.

STEP 2 **Define the Scope and Blueprint.** Scope may cover customer types, products, services, geographies, and other dimensions. The blueprint is a sufficiently detailed, clear and unambiguous directions, outcomes, objectives down to defining individual tasks that are appropriate, effective and consistent with the desired direction. It is necessary to avoid unattainable targets, challenge every objective being defined.

STEP 3 **Determining and deploying resources effectively and efficiently.** After detailing the blueprint, it is important to determine the right amount (efficiency) of resources required to implement the strategy (effectiveness).

STEP 4 **Define the competitive advantage.** Explaining why customers will pay for a product/service.

1.3 STEPS IN DEFINING STRATEGIC POSITIONING (Jones, 2015)

STEP 1 **Find the unique position in the market or industry** based on:
- A small set of products/services to many customer types
- Delivery of a wide range of products/services to a tightly focused group
- The wide range of needs of significant numbers of customers but only in a narrow segment (e.g., Targeting few barangays and small municipalities only)

STEP 2 **Decide what the livelihood should not do**. It should focus on addressing the current situation and the future trends by combining:
- Anticipation of changes in buyer needs and competitive reactions
- Concerted and focused application of effort across the livelihood ecosystem

Set the great fit between what the livelihood does and the whole set of processes, metrics, skills, structures, and resource/assets deployment. If the fit is weak, then there is a high risk of not benefiting from the activities, and an analyst would expect a zero to low return of assets.

Check Tool 19: Enterprise Delivery System: From Resources to Outcomes

1.4 DESIGN THINKING APPROACH: THE FOUNDATION IN GROWING ASSETS

To design a solution/product/service in a humanitarian context, it has to be within the Humanitarian Parameters Box. It is critical to have a good understanding of such parameters box for one to effectively innovate solutions for a humanitarian purpose. Click the button[16] below to access the Humanitarian Parameters Box:

HUMANITARIAN PARAMETERS BOX WORKBOOK

DESIGN THINKING is a non-linear, iterative process that successful enterprises use to understand customers, challenge assumptions, redefine problems and create innovative solutions for rapid prototyping and testing.

Not only does it focus on creating products/services that are human centered, but the process itself is geared towards social innovation (Brown and Wyatt, 2010). Design thinking is compelling for urban vulnerable communities because it taps into current capacities and undiscovered capacities of stakeholders, but are overlooked by conventional problem-solving practices. By working closely with the clients and consumers, design thinking allows high-impact solutions to rise from below rather than being imposed from the top (Brown and Wyatt, 2010). It is most useful to tackle problems that are ill-defined or unknown.

Design Thinking involves six (6) steps—Empathize, Define, Ideate, Prototype, Test and Implement. Please see Figure 16 for the illustration.

Empathize. Feel the emotions of the urban vulnerable communities on various risks and hazards they have been facing. Sense their challenges towards understanding problems, that the organization or enterprise is trying to solve. Usually, enterprises conduct simple and brief survey on customer needs. Other organizations, carry out an empathy map.

Check Tool 20: Empathy Map

Define. Compile, sort and clean the data and information gathered during Step 1. Then, analyze observations and synthesize them to define core problems. Defining core problems are crafting problem statements. In this Step, personas can be created. Personas are fictional characters, which the enterprise create based on the result of the research, to represent the different customer types that might use your product or service.

Ideate. Craft ideas and challenge underlying assumptions from the ideas crafted. The solid background of knowledge from the first two steps means the enterprise can start to look for alternative ways to view the problem and identify innovative solutions to the problem statement(s) crafted.

Prototype. Too many, information, idea, and alternatives could lead to "analysis paralysis". Prototyping is a solution to such paralysis. In this Step, the aim is to identify the best possible

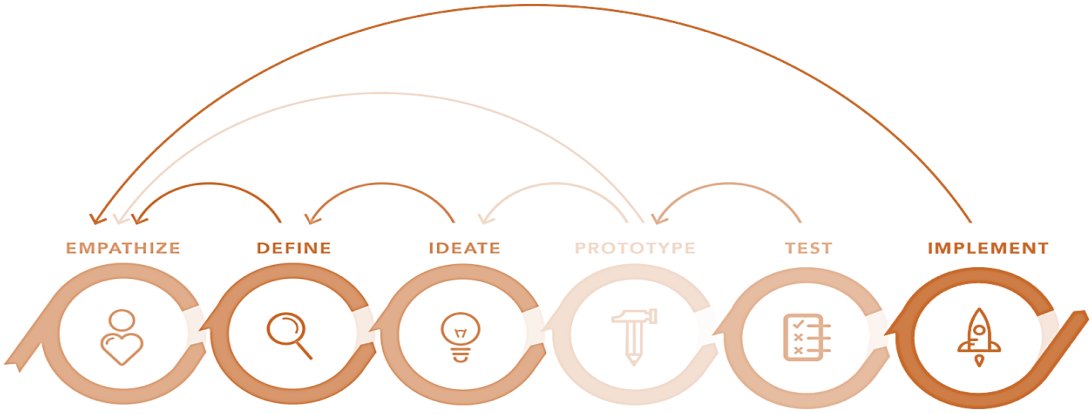
[16] As an alternative in clicking the button, Humanitarian Parameters Box Workbook can be accessed through this link - https://higuide.elrha.org/wp-content/uploads/2018/06/Humanitarian-Parameters-Box-GDC-0618.pdf

solution for each problem found. The primary stakeholders should produce some inexpensive, scaled-down versions of the product (or specific features found within the product) to investigate the ideas they have generated. Prototype could be a simple presentation, video, or a miniature of a product using available indigenous materials.

5 STEP **Test.** Sensibly test prototypes. Testing prototypes can redefine one or more problems. Primary stakeholders can return to previous Steps to make further iterations and refinements until a responsive, resilient, and sustainable solution is achieved.

6 STEP **Implement.** The most critical Step is implementation. The enterprise needs to ensure that the solution is materialized and change the lives of the customers.

FIGURE 16. THE SIX (6) STEPS OF DESIGN THINKING APPROACH IN DESIGNING PRODUCT/SERVICE/SOLUTION



Source: Adapted from Gibbons, S. (2016). *Design Thinking 101*. NN/g Nielsen

1.5 BUSINESS MODEL AND REVENUE MODEL DESIGNING AND VALIDATION: ALIGNING ECONOMIC AND FINANCIAL RESILIENCE TO ADDRESS ECONOMIC AND TECHNOLOGICAL RISKS

NOTE BOX 16. ON BUSINESS MODEL

55 major patterns of business models were identified in the last 25 years (Glassman, Frankerberger, and Csik, 2013), leading to development of the St. Gallen Business Model Navigator™. The Navigator synthesized numerous dimensions of various business models into four (4), which answer questions of Who, What, How, and Why. Please see Figure 17.

Business Model Canvas (BMC). A one-page business tool used to visualize all the building blocks when starting a business. Strategyzer's Business Model Canvas is the widely used by private sector. It draws into nine (9) building blocks to complete the foundation of a model. For further details of the guidance can be watched here - **STRATEGYZER'S BUSINESS MODEL CANVAS**

Tandemic Social Business Canvas. Is the more appropriate business model canvas for livelihoods and livelihood interventions, as it tweaked the canvas for social enterprises. Tool 21 is a step-by-step guide to build the canvas. For a more detailed guidance to complete Tool 21, visit this link - https://cscuk.fcdo.gov.uk/wp-content/uploads/2016/07/BMC-for-Social-Enterprise.pdf or click the button below:

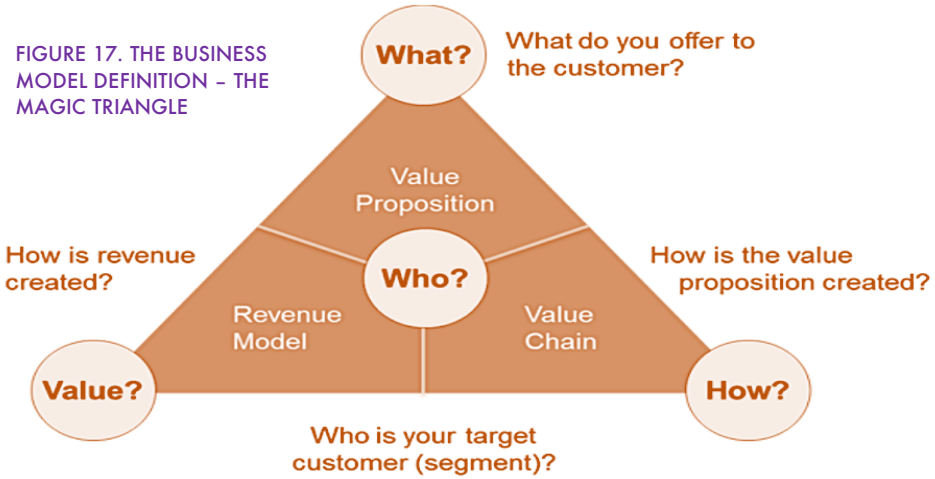
BUSINESS MODEL CANVAS FOR SOCIAL ENTREPRISE DESIGN

Check Tool 21: Tandemic Social Business Canvas

Business Model Validation Canvas (BMVC). The BMC as a tool is continually used to refine the business model, and to clearly describe the livelihood stakeholders' ideas, this is where the **BMVC** as complementary tool is needed. t presented Some enterprises make many pivots before they find the right product-market fit. It is essential to know where the enterprise has been before moving on. The goal of the validation process is to learn as much as possible, as fast as possible. With that in mind the livelihood stakeholders need to run experiments iteratively. The validation canvas is the central nervous system of this process. Please use Tool 22 with a 4-step guidance notes in doing the BMVC. Please note that **validation starts from the value proposition stated in the business model canvas**. The stated value proposition is the current hypothesis as to who the customers are, what problem is solved for them, and what solution is appropriate for that problem.

Check Tool 22: Business Model Validation Canvas (BMVC)

FIGURE 17. THE BUSINESS MODEL DEFINITION – THE MAGIC TRIANGLE



Source: St. Gallen Business Model Navigator. (2013). Working Paper. University of St. Gallen

NOTE BOX 17: REVENUE MODEL DESIGNING AND VALIDATION

Revenue Model. There is no one best revenue model an enterprise could use– the best revenue model depends on the solution, product, and customer base. As this is a critical part of the Business Model, designing this, shall also be part of the Business Model Validation. This answers the questions:

- How does the enterprise capture the value?
- What does the cost structure of your startup look like?
- What are the different ways you can generate revenue?

It is important to consider different revenue options during the validation process. Testing customers' willingness to pay to a certain payment structure is crucial to note of.

Three core objectives in capturing value or generating revenue:

1. *Being profitable (bottom line)*
2. *Generating cash*
3. *Attracting growth*

To validate these core objectives, an enterprise shall focus on measuring the following basic metrics:

1. **Customer Acquisition Cost (CAC)** – divide your sales and marketing costs for a given period by the number of customers you attracted during the same period.

   $$CAC = \frac{\text{SALES COST + MARKETING COST FOR A GIVEN PERIOD}}{\text{TOTAL NO. OF CUSTOMERS ACQUIRED}}$$

2. **Retention Rate**– the number of customers you maintain even after initial purchase. Always check with inactive customers to find out why they are not using your product or service.

   $$\textbf{RR} = \frac{\text{TOTAL NUMBER OF CUSTOMERS IN A COHORT WITHIN A SET PERIOD OF TIME}}{\text{TOTAL NUMBER OF CUSTOMERS IN SAME COHORTWITHIN A PREVIOUSLY SET TIME}}$$

   Example: $\frac{\text{200 CUSTOMERS FROM JANUARY NEW CUSTOMER COHORT IN FEBRUARY}}{\text{1,000 CUSTOMERS IN JANUARY NEW CUSTOMER COHORT}}$ = 20% Retention Rate

3. **Churn Rate**– the measure of customers who stop paying for the enterprise's product.

   CC = 1 – RETENTION RATE Example: 1 – .20 = 80% Churn Rate

4. **Life Time Value (LTV)** – the duration customers stay with the enterprise multiplied by the monthly revenue expected to get from the customer. LTV should always be 3x CONVERSION greater than CAC.

   LTV = AVERAGE VALUE OF (paying customers) X AVERAGE NO. OF CONVERSIONS IN A TIME FRAME X AVERAGE CUSTOMER'S LIFETIME

   Example : THE AVERAGE AMOUNT PAID BY CUSTOMERS IS **PHP2,500** X THE AVERAGE CUSTOMER MAKES **3** PURCHASES X THE AVERAGE CUSTOMER STAYS KEEPS ON PURCHASING THE ENTERPRISE'S PRODUCT FOR **10** YEARS =
   PHP75,000.00 LTV per CUSTOMER

Continuation of NOTE BOX 17: REVENUE MODEL DESIGNING AND VALIDATION

Revenue – the money you bring in through sales and other income. Pay specific attention to Monthly Recurring Revenue (MRR).

MRR is the amount of predictable revenue that an enterprise can expect to receive on a monthly basis. It is based to

MRR = NO. OF CUSTOMERS BOUGHT THE ENTERPRISE'S PRODUCT IN THE LAST 30 DAYS

Example : 5 CUSTOMERS BOUGHT 2 HANDCRAFTED HAND BAG FOR LADIES AT PHP2,500 PER BAG = PHP25,000 MRR

Profitability or bottom line is mostly influenced by CAC, LTV, Revenue and Churn. When you are validating your ability to capture value, these metrics will matter the most.

Success Tip: Calculate the worst-case scenario first and then create estimates based on the higher end of predictions. These will be helpful as yo actual metrics, making it easier to adjust your outlook into a realistic view.

TABLE 11. EXAMPLES OF REVENUE MODELS

REVENUE MODEL	DEFINITION	KEY RISKS
Earned income – unit sales	Revenue from volume or unit sales of product	Creating aspirational demand through branding, pull-marketing; competition from knock-offs; rural distribution
Earned income - advertising and leasing revenue	Revenue from sale of advertising space and leasing of retail space	Maintaining high visibility of facilities
Earned income – microfinance	Deferred payment for product	Transaction costs; interest rates; long payback period; MFI's capacity and reputation; credit default
Earned income - franchising	Income from licensing branded vending service	Maintaining consistent quality and execution among franchisees
Earned income - blended	Fees from products and services	Maintaining adequate revenue mix
Contributed income	Indirect beneficiary (e.g., government or CSO pays for product or service	Donor dependence; competing technologies
Hybrid blended income	Earned and contributed income sources	Donor dependence; market distortion from subsidies; balancing cash flows from different sources; maintaining sustainable

Source: Cabrera, P.V. (2014). Market Solutions to Public Needs, Mainstreaming Poverty Alleviation Initiatives in the ASEAN: *Habitat for Humanity Cambodia, Building Houses, Improving Lives*. Singapore. Cengage Learning Asia Pte Ltd.

1.6 ASSESSING CRITICAL LIVELIHOOD PROCESSES AND FUNCTIONS

A livelihood's capacity to respond quickly to any type of disruption could make the difference between resilience and closure.

To determine the maximum amount of time a livelihood can endure being closed after a disaster, primary stakeholders should identify its critical livelihood processes and functions and decide how long can a livelihood continue without being able to perform such livelihood processes and functions.

Check Tool 23: Critical Livelihood Processes

CRITICAL LIVELIHOOD FUNCTIONS are high-level groupings of livelihood processes and activities that are needed to run a livelihood. Livelihood stakeholders should identify their key livelihood functions and processes and decide how long they can go without being able to perform them.

The following are common examples of livelihood functions: **Finance. Accounts Payable, Payroll, Tax, and Accounting.**

- **Production.** The manufacturing of products or delivery of services.

- **Human Resources**. Functions related to employees such as recruiting, benefits and performance management
- **Sourcing**. The end-to-end process of purchasing materials, components, supplies and services. This includes vendor and partnership management.

Identify what livelihood functions are critical to resilience or recovery. Use Tool 24 to record important information as suggested. Duplicate the form for each livelihood function identified as critical to resilience.

Check Tool 24: Critical Livelihood Functions Template

1.7 TRIPLE BOTTOMLINE ACCOUNTING

The triple bottom line accounting aims to measure the financial, social, and environmental performance of an enterprise over time, rather than solely focusing on generating profit, or the standard "bottom line." It can be broken down into "three Ps": profit, people, and the planet. This sub-section emphasizes that this Manual actually is deeply aligned to the "three Ps".

Profit: This refers to the criteria and indicators in economic, physical, and infrastructure resilience. However, in Bangsamoro and in other Muslim communities, building of economic resilience is expected to consider the Islamic Finance which is founded from the principles of Islamic economic thought. The Islamic Financial Services Board issued a guidance notes on how to properly apply Islamic Finance. It can be accessed by clicking the button[17] below:

IFSB's GUIDANCE NOTES ON CAPITAL ADEQUACY STANDARD

People: This refers to criteria and indicators under personal, institutional and social resilience. Further, it also need to highlight the gender inclusion in programming processes. The CGIAR Research Program on Climate Change Agriculture and Food Security (CCAFS), CARE International, World Agroforestry Centre (ICRAF) prepared a well-written toolbox. It can be accessed through the button[18] below:

GENDER INCLUSION TOOLBOX

Planet: This refers to the criteria and indicators under environmental resilience.

1.8 RISK TRANSFER MECHANISMS (RTM)

NOTE BOX 18: RISK TRANSFER MECHANISMS AND MICRO-INSURANCE

Risk transfer is the formal or informal shifting of financial consequences of particular risks. These are mechanisms where individuals, households, communities and enterprises receive compensation from another party as a return to paid premium (UNISDR). Risk transfer is the least understood and, therefore, the least practiced approach to building resilience in urban poor communities. Many are not covered by PHILHEALTH and the Social Security System (SSS) insurance.

Risk transfer mechanisms (RTM) are acceptable to the urban poor only if these will be subsidized, or if their incomes are increased for households to be able to afford them. It is at the bottom of the urban poor's priorities due to insufficient income and savings that can be used in times of disaster.

[17] As an alternative in clicking the button, IFSB's GUIDANCE NOTES ON CAPITAL ADEQUACY STANDARD can be accessed through this link - https://www.ifsb.org/download.php?id=4371&lang=English&pg=/ar_index.php

[18] As an alternative in clicking the button, GENDER INCLUSION TOOLBOX can be accessed through this link - https://cgspace.cgiar.org/bitstream/handle/10568/45955/CCAFS_Gender_Toolbox.pdf?sequence=7

Continuation of NOTE BOX 18: RISK TRANSFER MECHANISMS AND MICRO-INSURANCE

Best practices from MOVE UP 1 to 3 facilitated and promoted RTM through:

- Actions focusing on financial literacy activities intended to change the mindset and attitude of the urban poor to one in which social and economic protection
- Introductions of effective and appropriate models of savings and establishment of Community Savings Groups;
- Diversified livelihood options along with the existing value chain; and
- Accessing micro-insurance for the protection of livelihood properties and health of the primary stakeholders.

MOVE UP Project's Operational Guidance Paper. The Operational Guidance Paper prepared by MOVE UP 2 provided a table of activities, outputs, and tools to institutionalize RTM in local governance. Please see Table 12 for these activities, expected outputs and tools.

MC **1 – 2010** specified the details of establishment of policy and regulatory environment that will facilitate increase participation of private sector in microinsurance and ensure that the benefits of the insured poor are protected. Table 13 is a comparison between microinsurance products (according to the regulations) and traditional insurance products.

Insurance Memorandum Circular 1 – 2010. It outlined the regulatory framework for Microinsurance as formulated by Insurance Commission in coordination with Department of Finance – National Credit Council, other regulatory authorities, associations of life insurance companies, non-life insurance companies, cooperative insurance societies, and mutual benefit associations.

It specified the details of establishment of policy and regulatory environment that will facilitate increase participation of private sector in microinsurance and ensure that the benefits of the insured poor are protected.

Insurance is a critical risk management tool for all livelihoods. Insurance can reduce the financial impact of accidents, fires, & other business disruptions. Insurance protects livelihoods from events outside of primary stakeholder's control & improves their chances of survival.

TWO (2) KINDS OF INSURANCE SHOULD BE CONSIDERED TO PREPARE FOR A DISASTER:

1. Livelihood property insurance secures the value of livelihood assets, including buildings, computers, equipment, furnishings, etc.
2. Livelihood interruption coverage reimburses for income lost during an involuntary shutdown

TABLE 12. INSITUTIONALIZING RTM IN LOCAL GOVERNANCE

ACTIVITIES	OUTPUTS	TOOLS
Conduct of micro-insurance baseline study	Baseline data on perceptions, needs, and capacities of community members for microinsurance	**MOVE UP Micro-insurance Study** provides information on the needs, capacities, and resources of urban poor communities in terms of increasing resilience against disasters and risks microinsurance products.
Design of micro-insurance options appropriate to the needs and resources of the urban poor.	MOUs with private providers of micro-insurance for technical inputs into the design of social protection mechanisms appropriate to urban poor communities	
Conduct sessions on social readiness for social protection and micro-insurance	Financial literacy modules of local agencies/offices enhanced with a DRR lens to emphasize the value of savings, social protection, and micro-insurance	**MOVE UP Convergence Strategy** is a venue for discussion involving LGU offices (DRRM Office, Livelihood Office, City Social Welfare and Development Office, and Housing and Resettlement Office), Barangay representatives, (DRRM Committee and Livelihood Committee), and microinsurance service providers, mutual benefits associations, and micro-finance institutions to identify risk transfer modalities most appropriate to urban poor communities.
Lobby for the review of subnational and city level policies on risk transfer as a form of social protection.	• Advocacy to integrate social protection into local plans and budget • Local ordinance adopting social protection, risk transfer mechanisms for livelihoods	

Source: Adapted from SDRI. (2018). MOVE UP Operational Guidance Paper

OTHER IMPORTANT CONSIDERATIONS IN PROMOTING MICRO-INSURANCE

Promoting innovative, effective and efficient delivery channels. Affordability of premium payments and accessibility to services are two of the key issues in microinsurance. The use of institutions, associations, and points of sale in proximity to the clients play an important role in expanding the reach of microinsurance.

Promoting the use of technology-based platforms. The availability and use of technology (e.g., mobile phones, webapp) and technology-based solutions to bring down costs, improve product value to policyholder, and cover more microinsurance clients. It also provides great potential for increasing microinsurance reach.

Promoting index-based or parametric microinsurance products. With increased frequency of natural calamities due to climate change, the use and adoption of index- based and parametric insurance products are advised. These are alternative risk financing solutions from insurance providers to enable livelihood or associations to transfer risk in a non-traditional way. These approaches tackle measurable index and are based on predefined triggers or pay out mechanisms – without necessarily experiencing the emotional devastation by witnessing livelihood assets washed away by a disaster.

- Parameters or indexes being used includes typical weather-related parameters like rainfall amount, temperature and windspeed correlated to client's loss. Example, due to an X amount of rainfall that could possibly destroys a farmer's crops a Y amount as covered by insurance contract could be claimed.
- Claims of payment amount is fixed and should be simply stated in the policy contract and is triggered upon exceeding the threshold conditions.
- It is not complex to review the parameters because weather stations, satellites, data computing storage and software applications has been available to almost everyone, and these capture accurate weather-related parameters.

TABLE 13. MICROINSURANCE PARAMETERS IN THE PHILIPPINES

Common Provisions for Individual/Group Insurance Plans	Traditional Insurance Products	Microinsurance Products
Maximum Premium	No limitation	5% of the current daily minimum wage rate in Metro Manila (P22.30 or $0.53)*
Maximum Benefit	No limitation	500 times the daily minimum wage rate in Metro Manila (P223,000 or $5,373)
Policy Contract	Full of complex conditions	Simple and easy to understand
Frequency of Premium Collection	Monthly, quarterly, semiannual, annual	Daily, weekly, monthly, quarterly, semiannual, annual
Grace Period**	31 days from premium due date	45 days from premium due date
Contestability Period***	Maximum of 2 years from date of issue or last reinstatement of policy	Maximum of 1 year from date of issue or last reinstatement of policy
Suicide Clause	Maximum of 2 years from date of issue or last reinstatement of policy	Maximum of 1 year from date of issue or last reinstatement of policy
Claims Settlement	Within 60 days after submission of complete documents	Within 10 days after submission of complete documents

* As of 3 June 2012, minimum wage rate in Metro Manila is P446 (conversion using P41.5 to $1). http://www.nwpc.dole.gov.ph

** Grace period refers to the extended period given to the insured within which they are allowed to pay their premium payments. The policy stays in effect during the grace period.

*** Contestability period refers to the period within which the validity of the insurance contract or policy may be challenged.

Source: Presentation of the Insurance Commission during the advocacy seminars conducted as part of the regional financial literacy road shows.

Source: Adapted from Garon, M.P.S. (2013). *Assessment of Microinsurance as Emerging Microfinance Service for the Poor: The Case of the Philippines*. Mandaluyong City. Asian Development Bank.

1.9 MAXIMIZING TECHNOLOGY AND DIGITIZATION

Maximizing technology and digitization is a strategic decision to prepare livelihood for an extended physical distancing arrangements and positioning livelihoods in a virtual ecosystem, hence, it must explore utilizing existing simple and affordable softwares or apps. It would help livelihoods to restore their services as widely and as quickly as possible.

STEPS IN MAXIMIZING TECHNOLOGY AND DIGITIZATION

Identify information technology systems (software, applications, etc.) and applications that livelihood may utilize.

Use affordable or free digital tools which can be accessed by clicking the button[19] below:

AFFORDABLE/FREE DIGITAL TOOLS

Document any procedures (such as manual workarounds) that would be implemented in the event of an extended outage.

Ensure Backing Up Data. Backing up your data is essential. You should also understand the basics of retrieving and restoring it, what that process entails, what data can be restored and how long it will take.

- Be sure your data backup provider explains and demonstrates how its recovery process works.
- Make sure your data is backing up with the frequency and completeness that you expect, and the backups are tested from different locations.
- Have more than one person who understands where and how to access your backup data.

2. BUILDING AND ENHANCING INSTITUTIONAL AND SOCIAL RESILIENCE: IMPROVING SOCIAL CAPITAL AND ENABLING GROWTH AND RETURNS FROM LIVELIHOOD ASSETS

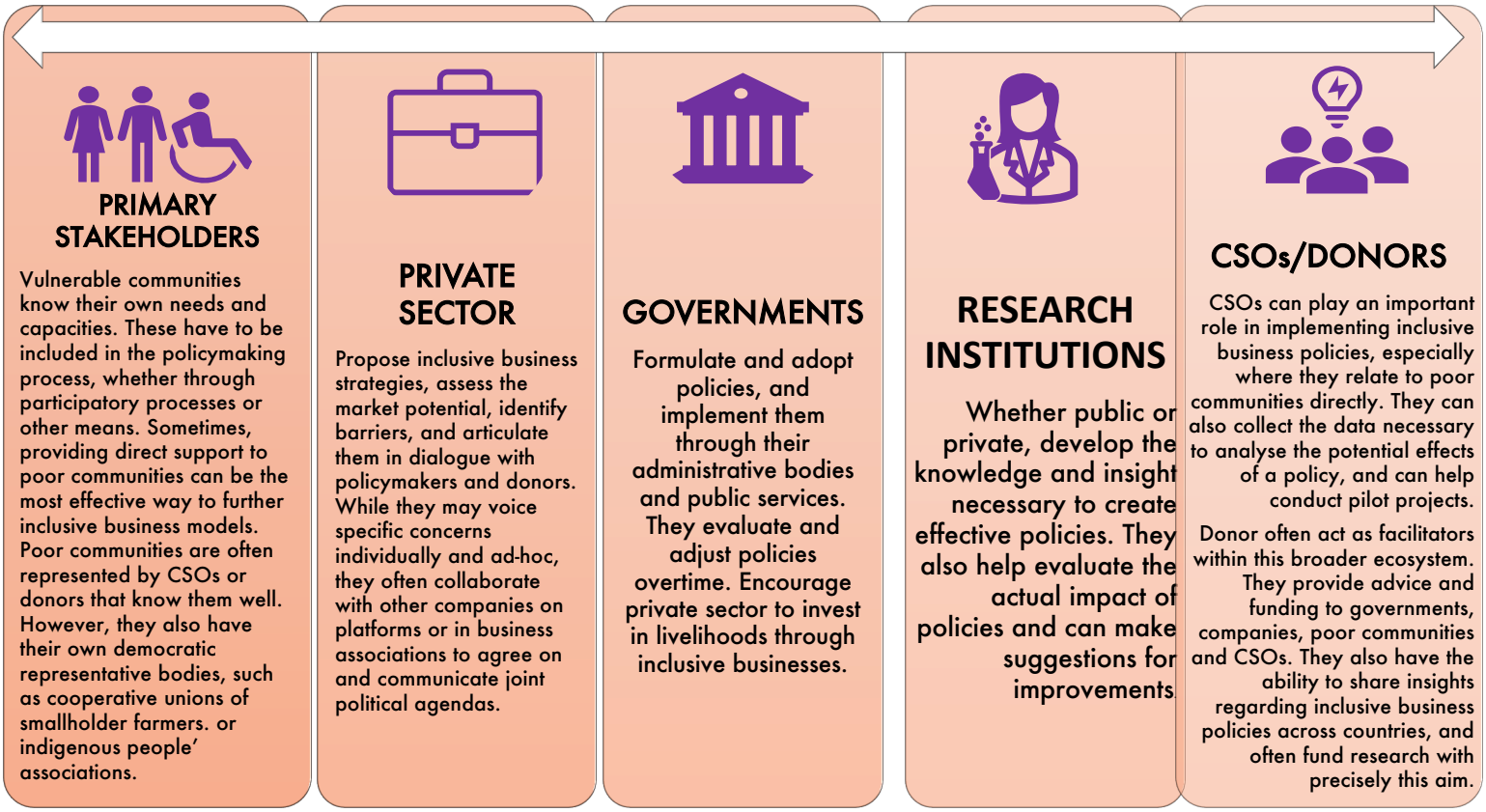
NOTE BOX 19: LGUs' BEST POLICIES AND PRACTICES IN ENHANCING INSTITUTIONAL AND SOCIAL RESILIENCE ENABLING GROWTH FOR LIVELIHOOD ASSETS

1. Promoting community-based and participatory approaches developing resilient livelihood including risk transfer mechanisms and social protection;
2. Emphasizing the need for savings mobilization that shall be used for capital build-up, operational fund, and emergency fund. The livelihood associations setting-up a system for the management of savings including savings mobilization; provision for re-loans; and incentives and penalties for borrowers.
3. Enhancing interaction between the system for developing resilient livelihood (including risk transfer mechanisms and social protection) and the DRRM/CCA system institutions by establishing a more formal system to improve links with subnational offices of DTI, OCD and DSWD and DOLE concerning livelihood resilience.
4. Institutionalizing representation of livelihood associations in the DRRM system in the sub-national level, and clarifying how private sector representatives and vulnerable group representatives become part of DRRM Councils.
5. Supporting further development of MSMEs or livelihood organizations, as they need their own voice and advocates in the policy process. Emphasizing on institutional development support like formalizing associations and installing governance mechanisms.
6. Strengthening open collaboration among players in the STI ecosystem including government, universities, and private sector-industries that promote resilient livelihood with RTM & SP.

[19] As an alternative in clicking the button, AFFORDABLE/FREE DIGITAL TOOLS can be accessed through this link https://grow.google/intl/en_ph/learn-skills/

Conduct Stakeholders Analysis with Conscious Effort of Promoting Livelihood Linkages to Inclusive Businesses Covering Both Local and Global Chains

FIGURE 18. SIMPLE STAKEHOLDERS ANALYSIS



Source: Gradl, K. T., et.al. (2013). Inclusive Businesses: *How Governments Can Engage Companies in Meeting Development Goals*. Endeva UG. BMZ Federal Ministry for Economic Cooperation and Development and Future-makers.

TABLE 14. THE INCLUSIVE BUSINESS POLICY OPTIONS FOR GOVERNMENTS

TYPE / APPROACH	INFORMATION	RULES	FINANCIAL RESOURCES	STRUCTURE AND CAPACITY
ENABLE	• Data and research • Peer learning	• Sector regulation • Standards • Overarching policy frameworks	• Access to finance/market rate-loans	• Infrastructure
ENCOURAGE	Awards	• Obligatory inclusion • Legal forms for businesses with social mission	• Financial support • Public procurement	• Development partnerships
EMPOWER	Awareness-raising	• Legal framework for market participation	• End-user subsidies • Insurance schemes	• Livelihood/MSE support • Capacity building

Adapted from Gradl, K. T., et.al. (2013). Inclusive Businesses: *How can Governments Can Engage Companies in Meeting Development Goals*. Endeva UG. BMZ Federal Ministry for Economic Cooperation and Development and Future-makers.

NOTE BOX 20: INCLUSIVE BISINESSES FOR INCLUSIVE GROWTH

Inclusive Busines Models include the poor on the demand side as clients, and on the supply side as distributors, suppliers of goods and services, or employees at various points in the value chain. These business models build bridges between companies and the poor for mutual benefit. Inclusive business models can effectively reach people with at least some capital. Inclusive business policies can help them reach a larger scale.

Governments can leverage inclusive business models to further the achievement of development objectives (Gradl, K.T., et.al, 2013). In fact, inclusive business approaches can contribute to livelihood outcomes. Evidence shows that government action has often been decisive for the success and growth.

Endeva, developed a so–called INCLUSIVE BUSINESS POLICY TOOLBOX FOR GOVERNMENTS. Table 14 illustrates a framework of said toolbox. **The inclusive business policy options ha two dimensions (**Gradl, K.T., et.al.,2013): policy types and approaches. Four different types of policy instruments are distinguished: 1) providing and sharing information, 2) setting and enforcing rules, 3) levying and granting financial resources, and 4) employing a government's own structures and capacities. types of instruments that can be employed within three basic approaches to the support of inclusive business models: enabling, encouraging, and empowering. The details of the toolbox can be accewssed through this link - https://2020.endeva.org/publication/inclusive-business-policies or by clicking the button below:

ENDEVA's INCLUSIVE BUSINESS POLICY TOOLBOX

Governments cannot fight poverty alone (Confesor, 2014), and the private sector needs to be part of the whole equation. Table 15 are the key strategies for private sector to invest in livelihoods through inclusive businesses approach.

TABLE 15. KEY STRATEGIES ON HOW THE PRIVATE SECTOR MAY CONTRIBUTE TO LIVELIHOODS

Creating inclusive business models	Involving the poor as employees, entrepreneurs, suppliers, distributors, retailers, customers, and sources of innovation in financially viable ways.
Developing human capital	Improving the health, education, experience, and skills of employees, business partners, and members of the community.
Building institutional capacity	Strengthening traders and producers associations, market intermediaries, universities, governments, CSOs, and grass roots associations who must all be able to play their roles effectively within the system.
Helping to optimize the "rules of the game"	Shaping the regulatory and policy frameworks and business norms that help determine how well the economic opportunity system works and to the extent which is inclusive of the poor.

Source: Adapted from Confesor, N. (2014). Market Solutions to Public Needs, Mainstreaming Poverty Alleviation Initiatives in the ASEAN: *Responding to the Fall-Out, The Impact of the Global Economic Slowdown on Private Firms, Enterprises, Poverty Reduction, and Development*. Singapore. Cengage Learning Asia Pte Ltd.

STEP 2 **Organize Livelihood Stakeholders Towards Formalizing Groups and Associations.** The MOVE UP Consortium have years of institutional experience with organizing and sustaining Community Savings Groups (CSGs) as an internationally tried and tested mechanism, and it has been increasingly promoted by other different organizations in other settings. Using this expertise, the consortium can introduce the templates and procedures. Building resiliency through CSGs involved three key components; namely:

Livelihood assessment. The livelihood assessment provided a thorough analysis of livelihood assets and strategies as well as opportunities and capacities for recovery among the urban poor.

Financial literacy sessions. The financial literacy sessions highlighted the need to improve the household expense and income structure among the urban poor to build security through savings.

Training in alternative livelihoods. Training in alternative livelihoods involved the hands-on production of items/learning of skills and forming linkages with markets. The CSG was selected as the best example of good practice initiated under the project.

STEP 3

Align and Integrate Livelihood Strategies into Local Development Priorities, Policies, and Plans. To ensure integration of livelihood strategies set out in the Livelihood Resilience and Sustainability Strategy Plan, it need to establish the fact that it supports the needs of vulnerable communities and of the workers, and strategies should be consistent with the following:

a) Priorities of the Regional Development Council (RDC), Regional Convergence Committee (RCC), and Regional Development Plans of Local Government Units.
b) Department of Trade and Industry (DTI) priority products:
   - Coffee; coco-coir; cacao; rubber; support to tourism (crafts, processed foods, services)
c) Key employment generators
   - agribusiness
   - health and wellness
   - eco-tourism
   - manufacturing
   - small transport
   - whole sale and retail trade
   - local based industries as indicated in the Local Development Plan

Which specific provision of the local development plan integration of livelihood strategies would fit? Section of Local Development Plan / Local Development and Investment Plan (LDIP) / Annual Investment Plan (AIP) referring to Labor and Employment / Social Services with Detailed Estimates of Approved Project Expenditures or Estimated Expenses. In the Comprehensive Land Use Plan (CLUP), it is also important to know the locations of dedicated livelihood and enterprise zones. Annex 5 is a sample format on the review of policy/plan to integrate livelihood strategies in Local DRRM Plan.

The National Anti-Poverty Commission (NAPC) and Department of Interior and Local Government (DILG) issued IRR and various memorandum circulars mandating all LGUs to integrate into their Local Development Plans or Sectoral Plans livelihood interventions for the vulnerable poor. Table . presents various DILG memorandum circulars related to integration and mainstreaming livelihoods and livelihood interventions, DRR, CCA and peace-building strategies.

TABLE 16. POLICIES MANDATING LGUs TO INTEGRATE LIVELIHOODS AND LIVELIHOOD INTERVENTIONS, DRR, CCA AND PEACE-BUILDING STRATEGIES

Implementing Rules and Regulations of R.A. 11291	Section 8. Duties of LGUs. It shall be the duty of all LGUs to exercise their powers and functions, pursuant to the Local Government Code and other pertinent laws, in compliance of the State's obligation to respect, protect, and fulfill the rights of the poor, including but not limited to local legislation, generation and application of resources, delivery and maintenance of basic services and facilities, and promotion of the general welfare. All provisions in Section 10 that refer to undertake necessary actions to mitigate and alleviate hunger especially in times of calamities/natural and human-induced disasters; and proactively engage the poor in activities intended to promote their food self– sufficiency and strengthen their access to resources and means to ensure food security All provisions in Section 11 pertaining to right to decent work, especially paragraph 3 on promoting livelihood among the poor where implementing agencies shall provide technical and administrative support to help the poor establish their livelihood enterprise: shall provide capital and technical support to the poor necessary in establishing, developing, and expanding micro-, small-, and medium-enterprises which correspond to existing or potential economic activities in the community.

	Section 15, paragraph b, the right to social protection which is the right to have access to basic social security guarantees which reduce vulnerability to risks such as sudden loss of income, sickness, maternity, disability, and old age. These social security guarantees include access to health care and to basic income security which together secure access to necessary goods and services.
DILG MC No. 2019-163	Encouraging all provinces, cities, municipalities and barangays to support the promulgation of the IRR of R.A. 11291, otherwise known as the Magna Carta for the Poor lead by National Anti-Poverty Commission (NAPC)
DILG MC No. 2012 - 73	Utilization of LDRRMF, Section B pertaining to Response. • Provide alternative livelihood relief or assistance to fisher folks during typhoons. • Provide alternative livelihood relief or assistance to farmers if crops are destroyed after disasters. • Provide alternative livelihood activities and other small-scale entrepreneurial activities while in the evacuation centers.
DILG MC No. 2015 - 77	Providing guidelines on mainstreaming CCA and DRR in local development planning. Section 6 provides ensuring financing of DRR and CCA measures; and Section 7.1 LGUs as lead in pursuit of their mandated roles in promoting general welfare of the inhabitants, delivery of basic services and facilities; and the performance of their roles stipulated in RA 10121 and RA 9729.

STEP 4 Seek Representation(s) of Livelihood Associations into the Local Governing Bodies

The Road Map for Disaster Resilient Enterprises (iPrepare Business Facility, 2017) is the result of the various initiatives conducted under the "Strengthening the Disaster Resilience of SMEs" Project administered by the Asian Disaster Preparedness Center (ADPC) and Department of Trade and Industry. It operates together with the Micro, Small & Medium Enterprises Resiliency Core Group (MSME-RCG).[20] Most importantly, the Road Map is the only guidance document in the country which stipulated a coherent strategy of MSME inclusion in DRRM and CCA policy, planning, and local institutions. At the level of local governments, the following activities are enumerated:

- Include MSME associations in Local DRRM councils.
- Involve MSMES in programming and utilization of local DRRM Funds.
- Develop guidelines on access to local DRRM funds for disaster risk reduction, e.g., through enterprise and area business continuity planning (BCP).
- Organize MSMEs at the barangay level for information sharing on DRRM and CCA.
- Develop local area business continuity manual (BCM) with LGUs as drivers for MSMEs to adopt BCP/DRRM plans and procedures.
- Geo-tag MSMEs and critical infrastructure in local Comprehensive Land Use Plans.
- Institutionalize BCM at local level, for example, by integrating Area BCM into Barangay or Local DRRM Plans, which can be funded through local DRRM funds and other LGU appropriations.

STEP 5 Carry out Social Marketing

SOCIAL MARKETING is the application of marketing concepts and techniques to exchanges that result in the achievement of livelihood outcomes. Social marketing helps enterprises to decide which people to work with, what behavior to influence, how to go about influencing this behavior and, finally, how to measure if an enterprise have been successful or not. The MOVE UP Consortium has been implementing one format of social marketing strategy called, **EVIDENCE-BASED ADVOCACY TO**

[20] The primary working group comprises: the Bureau of Small and Medium Enterprise Development Department of Trade and Industry (DTI-BSMED); Office of Civil Defense (OCD); Philippine Chamber of Commerce and Industry (PCCI); Philippine Disaster Resilience Foundation (PDRF); Philippine Exporters Confederation (PHILEXPORT); Asia-Pacific Alliance for Disaster Management Philippines (A-PAD); Employers Confederation of the Philippines (ECOP); Asian Disaster Preparedness Center (ADPC) and GIZ's Global Initiative on Disaster Risk Management (GIDRM); Department of Science and Technology (DOST); and Department of Interior and Local Government (DILG).

INVEST IN LIVELIHOODS. Table 17 elaborates activities, outputs, and tools in Evidence-Based Advocacy to Invest In Livelihoods.

TABLE 17. ACTIVITIES, OUTPUTS, AND TOOLS IN EVIDENCE-BASED ADVOCACY TO INVEST IN LIVELIHOODS

ACTIVITIES	OUTPUTS	TOOLS
Activity 1. Formation of the MOVE UP Technical Working Group	Enhanced DRRM Office that includes relevant local agencies/offices such as the CSWD, Engineer's Office, PESO, Building Officer's Office, Cooperative Development Agency, etc.	**MOVE UP Communications and Advocacy Plan** is an effective tool in sending messages that define for each major stakeholder his/her role in building urban resilience at each level of the city organization. Specifically, the MOVE UP communication plan developed the following messages for the Mayor, DRRM Office Head, and Mothers in the community. • Mayor: Your constituents will benefit from urban resilience. It will protect lives, properties, and investments. • DRRM Office Head: You are the bridge between the community and decision-makers to increase the quality of disaster and risk reduction management in the community. • Mothers: You have the capacity to protect your family from disasters and risks, and improve their quality of life.
Activity 2 Coaching and mentoring on the MOVE UP urban resilience model	• Scale up of MOVE UP strategies in livelihood, risk transfer mechanism and social protection • Review of City Development Plans and Policies related to livelihood, risk transfer mechanism and social protection.	
Activity 3.dentifying champions who have significantly contributed to building resilience in urban poor communities	• Individuals/ Groups/ Communities/ Departments that have articulated MOVE UP DRR resilience models through orientation, lobbying, and facilitation • Cities and barangays that have institutionalized Resilient Livelihood, RTM and Social Protection models in city and barangay plans (Annual Investment Plan, Contingency Plan, Comprehensive Land Use Plan, DRRM Plan) • Beneficiaries from cities and barangays who have adopted urban resiliency	
4. Sharing of best practices and lessons by MOVE UP champions at multi-stakeholders' meetings	documentation of proceedings leads to the development of knowledge materials (case studies, video documentaries, etc.) that may be used for advocacy	
5. Lobby for integration of livelihood, risk transfer mechanism and social protection in local development and DRRM Plans and investment plans.	MOVE UP beneficiaries who are capacitated in urban resilience and empowered to lobby to the city government and barangay unit for the adoption of urban resilience models in shelter, livelihood, and social protection	

Source: Adapted from SDRI. (2018). MOVE UP Operational Guidance Paper

3. BUILDING AND ENHANCING PERSONAL RESILIENCE AND GROWTH MINDSET CULTURE: IMPROVING HUMAN CAPITAL

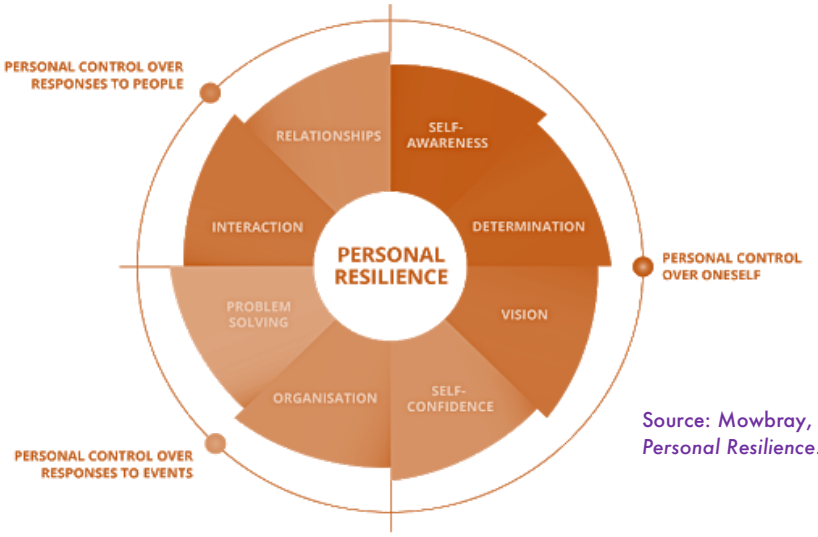
NOTE BOX 21: PERSONAL RESILIENCE

Personal Resilience is the capacity to mobilize personal resources to tolerate and overcome adverse events without experiencing stress, and to grow and develop because of such events. Some aspects of resilience are personality dependent whilst others are skills determined. All elements can be learnt and strengthened.

Personal resilience should be considered as an essential part of social protection programs, whole livelihood functions, and livelihood interventions. The MOVE UP Consortium and the DSWD collaboration starting 2020, led to appreciation of personal resilience as component of resilient and sustainable livelihoods. This dimension of resilience heavily deals with mental health and psychosocial support services (MHPSS). MHPSS is difficult to access in MOVE UP Mindanao areas. Further, **the** Mental Health Act of the Philippines or R.A 11036 was enacted last 2018 and it mandated all LGUs to promote community- and recovery-based approaches, and deliver culturally-appropriate mental health care services, including the development of guidelines (in coordination with the DOH) to ensure the provision of community mental health services within one year after the effectivity of the Implementing Rules and Regulations (IRR). The IRR became effective last January 2019. The Despite the mandate, it is observed that majority of the LGUs were not able to conform. The COVID -19 pandemic uncovered that MHPSS is not one of the priority human capital investments. It cannot be found in LDRRM Plan, and even in Contingency Plans.

Personal resilience has three components (Mowbray, 2014) : *Personal Control Over Oneself, Personal Control Over Responses to People, Personal Control Over Responses to Events*. Figure 19 is an illustration of this framework on strengthening personal resilience.

FIGURE 19. MOWBRAY'S FRAMEWORK IN STRENGTHENING PERSONAL RESILIENCE



Source: Mowbray, D. (2014). *Strengthening Personal Resilience*. Management Advisory Service

There are lots of online versions of personal resilience frameworks and tools available in the web. Focus varies depending on the discipline of a certain author. Mowbray's framework is the simplest and has greater fit for livelihoods.

STEPS IN BUILDING MOWBRAY'S PERSONAL RESILIENCE

1. **Study Tools 25[21] and 26.** These are two complementary tools as an Introductory Personal Resilience Assessment. Allow individuals to answer the questions in Tool 25 by circling the number that best describe what the person feel. **1 = Never, 5 = Yes, always**

2. **Let respondents copy their number answers to the Score column in Tool 26.** Item numbers in Tool 25 corresponds to item numbers in Tool 26.

3. **Collate all individual answers.** To have a sense on the group's level of personal resilience, just simply get the average of al the scores and identify priority areas for intervention. Any score of 3 and below indicates a need to strengthen this element of personal resilience**.**

4. **Decide on specific appropriate interventions depending on available resources.** Interventions could be in a form of coaching, mentoring, facilitated trainings and workshops. And such interventions should be linked in improving productive livelihood assets.

5. **Repeat the process after a year**, or every after important milestone.

NOTE BOX 22. GROWTH MINDSET

Growth Mindset is a belief that skills and abilities can be improved in ways that shape the purpose of the work that a person does, leading to relational fulfillment, professional success, and enterprise growth (Derler, 2019). People with a growth mindset believe that intelligence is something that can be honed overtime. Such belief framed people's mind to focus on the importance of effort and resilience.

Researches and best practices of enterprises proved that Growth Mindset can be a tool for framing enterprise's decision on maximizing internal strengths and weaknesses; and on navigating the external threats, trends, and opportunities. Table 16 presents the expected characteristics of an enterprise employing growth mindset compared to an enterprise nailed in a fixed paradigm.

There are lots of available online versions of growth mindset test. The one which is simple and has greater fit for livelihood interventions is the IDRLabs Mindset Test or IDR-MT with 20 carefully crafted questions. The IDR-MT was developed by IDRlabs, and they based it from the work of Dr. Carol Dweck.

[21] There is a longer and detailed version of Mowbray's Personal Resilience Questionnaire, but one shall pay for subscription.

TABLE 18. CHARACTERISTICS OF AN ENTERPRISE INVESTING ON GROWTH MINDSET AS PART OF HUMAN CAPITAL DEVELOPMENT

VIEWS AND RESPONSES	GROWTH MINDSET	FIXED MINDSET
Perception on Skill Growth	Can be largely improved; Continually try to new things	Innate abilities are set/fixed; stick to what is already know
Facing Challenges	Persistent; Find opportunities to learn and grow	Seek blame; Avoid threats and obstacles
Navigating Disruptions	Embrace and change to improve the enterprise	Resist and change by default
Managing Change (Gallagher,2020)	Include everyone in understanding context and developing skills; provide structural support to align with new systems and processes	Expect everyone to keep up and exclude those who resist
Response to Weaknesses	Acknowledge	Denial; blaming; intimidation to avoid penalty
Setting Goals	Optimistic and realistic	Pessimistic and unrealistic
Peer Pressure	Not easily influenced	Easily influenced
Perception on co-players in the industry	Find inspiration, learn success from others; "coopetition"	Feel threatened; competition with other's success
Assessing Employee's Traits	Less important than effort	More important than effort
Locus of Control in Decisions (Balinggan, 2018)	Internal	External
New Tasks	Exciting	Feared
Reflections to Action	Seek learning from criticisms; identified improvements frequently practiced	Ignore/dismissed feedback

STEPS IN BUILDING GROWTH MINDSET CULTURE

STEP 1 **Although the IDRLab Mindset Test (IDR-MT) is designed to be taken individually online, it can also be taken by a group.** But it must be a facilitated group self-assessment. The self-assessment tool could be accessed by clicking the button below[22]. To facilitate a group self-assessment, the group shall agree on what will be their one and common response to all the 20 questions. The test result is instantly provided after responding to all questions. Figure 19 is a sample test result. Notice that a percentage between the two mindsets are provided. Knowing the percentage of fixed mindset is key to determine the priority areas for interventions. Priority areas are those beliefs inclining towards fixed mindset as presented in Table 16. Then, proceed to Step 3.

IDRlabs MINDSET TEST

If it is to be carried out by individuals, please remember that the test results will only be accessed by individual test taker, so by emphasizing respect on consent, privacy and confidentiality, there should have an agreement that everyone shall share each result to the facilitator by any means convenient to everyone. After all are complete with self-assessment proceed to Step 2.

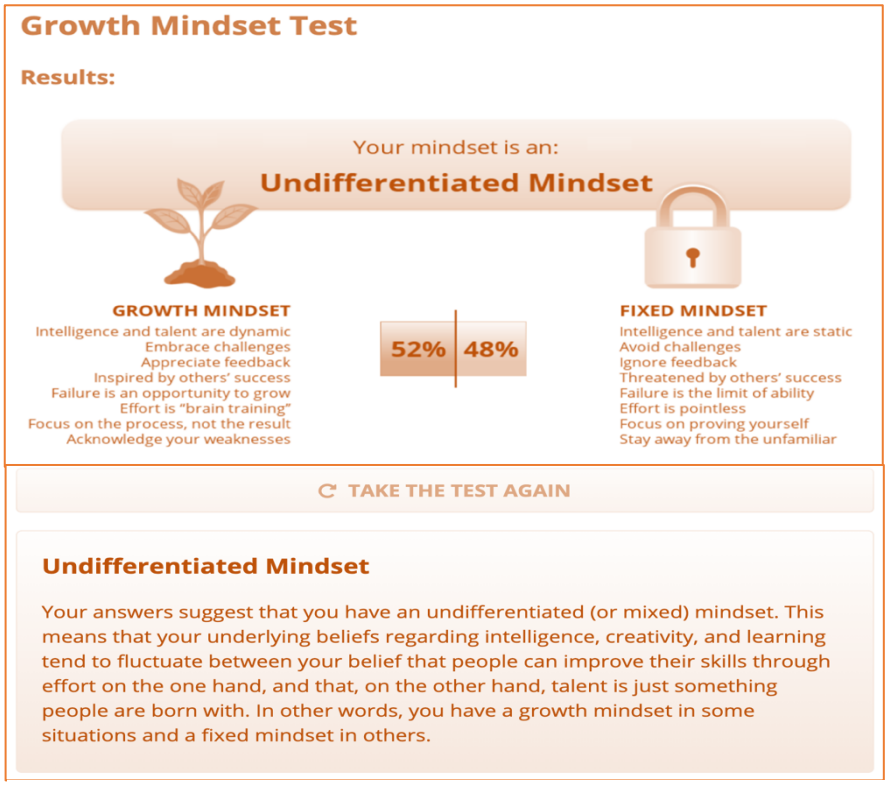
STEP 2 **Collate all individual answers.** It is suggested to tabulate all the answers through MS Excel for an easy calculation of average and percentages. To have a sense on the group's level of personal resilience, just simply get the average of al the scores and share it group to all respondents for their and identify priority areas for intervention.

STEP 3 **Validate the Test Results.** Allow a period of validation. Careful validation of the test results could be done by having a conscious effort in observing the pattern of responses in frequent opportunities of interactions. Through interactions for over a certain duration, the default

[22] As an alternative in clicking the button, AFFORDABLE/FREE DIGITAL TOOLS can be accessed through this link https://www.idrlabs.com/growth-mindset-fixed-mindset/test.php

responses of people involved can be established. Interactions are like dialogue, consultations, trainings, and usual conversations.

FIGURE 20. SAMPLE INSTANT IDR-MT RESULT



Source: Extracted from IDRLabs. https://www.idrlabs.com/growth-mindset-fixed-

Decide on specific appropriate interventions depending on available resources. Interventions could be in a form of coaching, mentoring, facilitated trainings and workshops. And such interventions should be linked in improving productive livelihood assets.

Check Tool 28: Simple Coaching Guide Following Growth Mindset

Repeat the process after a year, or every after important milestone depending on the available resources.

4. LIVELIHOOD CONTINUITY PLAN

A livelihood continuity plan may be composed of four (4) components: Livelihood Emergency Kit; Quick Livelihood Resilience Checklist (Before the Disaster); Resiliency Quick Action Checklist (After the Disaster); and Maintaining and Testing Livelihood Resilience.

Facebook already prepared a Small Business Resilience Toolkit. The Toolkit was designed for small businesses, but there are a lot of useful sections for livelihoods and livelihood interventions. Go to page 46 of the Small Business Resilience Toolkit and extract the tools on: Small Business Emergency Kit; Quick Small Business Resilience Checklist (Before the Disaster); Small Business Resiliency Quick Action Checklist (After the Disaster); and maintaining and testing small Business resilience. Click the button below to access the Toolkit.[23]

SMALL BUSINESS RESILIENCE TOOLKIT

[23] As an alternative in clicking the button, SMALL BUSINESS RESILIENCE TOOLKIT can be accessed through this link - https://drive.google.com/file/d/1SgXJv7mFsoEjZIqBbiONEEgi05Ur_d8m/view?usp=sharing